



PREMIUM ONLY PLAN

Client Training and Procedure Document

TABLE OF CONTENTS

	CHAPTER TITLE	PAGE NUMBER
	Welcome	4
Chapter 1	Introduction	5
	What is a Premium Only Plan	5
	What We Provide	5
	ADP Payroll Clients with Compliance Testing Service	
Chapter 2	Communicating with ADP	8
	For Plan Administrator Use Only.....	8
	Communicating Changes About Your Company	8
Chapter 3	Five Easy Steps to Starting Your Premium Only Plan	9
	Step One – Adopt the Plan.....	9
	Step Two – Distribution and Review of Enrollment Materials	9
	Step Three – Collecting Enrollment Forms	9
	Step Four – Coding Your Employees in Payroll.....	9
	Step Five – Pre-Tax Deductions Begin under ADP POP	10
Chapter 4	Participant Enrollment and Elections	11
	Initial Enrollment.....	11
	Annual Open Enrollment	11
	Mid-Year Election Changes.....	12
	Special Mid-Year Change Election for 2013 Non-calendar Plan Year	
	FMLA Leave Procedures.....	14
	Non-FMLA Leave Procedures.....	14
Chapter 5	Amending & Terminating Your Plan	15
Chapter 6	Annual Report, Participant Disclosures and Claims Procedure	16
	Annual Reports (Form 5500).....	16
	Participant Disclosures	16
	Claims Procedures	16
Chapter 7	Overview of Compliance Nondiscrimination Tests	17
	Getting Started	17
	Key Concentration Test.....	17
	Nondiscrimination Classification Test – Eligibility	18
	Note About Controlled Groups & Affiliated Service Groups	19
	Note About Leased Employees.....	20
	Worksheets for Compliance Nondiscrimination Tests	20
	• Worksheet A – Nondiscrimination Test Data	20
	• Worksheet B – The Key Employee Concentration Test	24
	• Worksheet C – The Nondiscrimination in Eligibility Test	24
	• Worksheet D – The Nondiscrimination in Contributions and Benefits Test.....	28

Chapter 8

Coding & Updating Payroll	30
Definition of Dates	30
Compliance Codes	30
• Exclusion Codes	30
• Family Member Codes	30
• Key Employee Codes	30
• Highly Compensated Code	33
• Stock Ownership/Attribution Rules	34
• Eligibility Code	35
• Owner Participation	35
Payroll Coding	36
Deductions	44
ADP Resources Payroll Product	45
ADP Resources with 401(k) Product	46
Descriptions for Validation Tables: Status Flags 1 – 5	47

WELCOME

Congratulations! You and your company have joined an elite group of businesses whose concern for their employees have led them to partner with ADP - the nation's premier payroll and data communications services company - to assist them in establishing and operating their Premium Only Plan (POP). Your plan is a fantastic way for you and your employees to enjoy current tax reductions. ADP is excited to work with you and your company in this new venture.

As the Plan Administrator, you have the responsibility to monitor and administer your company's plan. This guide will provide you with easy, step-by-step instructions to assist you with plan administration, from processing enrollments to reviewing the results of your compliance tests.

Thank you for selecting ADP.

Important:

This guide gives you information to assist you in administering your company's POP, but is not intended to give you legal or tax advice. ADP strongly recommends that you consult with your legal and/or tax advisor regarding the installation, maintenance and administration of your POP.

CHAPTER 1 - INTRODUCTION

WHAT IS A PREMIUM ONLY PLAN?

Your Premium Only Plan (“POP”) is a plan offered under Section 125 of the Internal Revenue Code (these plans may also be referred to by the Internal Revenue Service (IRS) and others as “cafeteria” or “flexible benefit” plans). These plans permit eligible employees to choose between cash and pre-tax benefits without incurring a taxable event because of that choice. A POP is a somewhat more limited type of Section 125 plan under which participants pay their share of insurance premiums for company sponsored plans on a pre-tax basis. Employees that pay their share of insurance premiums on a pre-tax basis through a POP can save on federal income taxes, state income taxes in most states, and Social Security and Medicare (i.e., FICA) taxes. Employers that sponsor a POP can save on the matching portion of FICA taxes and federal unemployment taxes, and can also save on state employment taxes in many states.

Section 125 of the Internal Revenue Code only permits certain types of benefits to be funded through a cafeteria plan. Under your ADP POP, the benefits that may be funded include Health Insurance*(see *Affordable Care Act Update* below), Dental Insurance, Vision Insurance, Disability Insurance, Accidental Death and Dismemberment Insurance, and Life Insurance. Your POP is the vehicle through which employees may pay their share of premiums for these insurance benefits on a pre-tax basis. The benefits themselves are not provided under the POP but, rather, under separate plans and insurance contracts that set forth the terms of those benefits.

WHAT’S NEW

***Affordable Care Act (ACA) Update:** A qualified small employer (generally 50 or less employees) may purchase group health insurance on a federal or state Exchange or Marketplace called a SHOP (Small Business Health Options). The employee share of health insurance premiums purchased by a qualified employer on a SHOP can be paid for through the POP. However, the employee share of premiums for health insurance purchased by an individual on a federal or state Exchange cannot be paid for through the POP.

Massachusetts Repeals Code Section 125 Requirement for Connector Coverage: The Commonwealth of Massachusetts clarified in late 2013 that the Massachusetts’ Free Rider Surcharge law, which required employers to maintain a POP to permit employees to pay pre-tax premiums for individual health insurance coverage purchased on the MA Connector, was inconsistent with ACA. Thereafter, MA repealed the Free Rider requirement altogether, clarifying that in Massachusetts, individuals and employees may not use an employer-provided POP to pay for individual health insurance coverage purchased on the MA Connector. Therefore, if you have any Massachusetts employees who purchased individual health insurance coverage on the MA Connector (or other state or federal exchange) and paid premiums through POP in error, you will need to reverse out the pre-tax premiums paid through POP for the 2014 calendar year or other plan years beginning on or after January 1, 2014.

Impact of United States v. Windsor decision and applicable IRS guidance: Effective September 16, 2013, for federal tax purposes, the law requires that the term “spouse” and “marriage” include spouses in same-sex marriages entered into in a state, jurisdiction or country that recognizes same-sex marriages. This rule applies to plans subject to the Internal Revenue Code such as the POP. Plan sponsors may recognize same sex marriages earlier than this date required by the IRS. Check with your legal advisor on the rules applicable to the interpretation of “spouse” and “marriage” if the Plan Administrator selected an earlier effective date regarding the recognition of spouses in same sex marriages. The revised rules on same sex spouses do not extend to individuals who are in civil unions or domestic partnerships.

WHAT WE PROVIDE:

The services provided in connection with the POP will depend upon whether your company uses ADP as its payroll service provider; for some services, it may also depend upon the particular ADP product that your company uses for its payroll. Services provided to ADP payroll clients that are provided POP compliance testing service are designated throughout this document as “ADP PAYROLL CLIENTS ONLY”. Services provided to companies that do not use ADP payroll or are using an ADP product that is not supported by the ADP POP compliance testing service are referred to throughout this document as “STAND ALONE PAYROLL CLIENTS”. If you have any questions on whether you are an ADP payroll client or what payroll product your company uses in connection with the POP, call the POP Client Service team.

Plan Establishment

- Plan Document (including Plan Highlights customizing the Plan to your specifications)
- Forms of Resolution and Record of Adoption

Enrollment Materials

- Plan Highlights (customized for your plan)
- Employee Calculator
- Plan Summary
- Enrollment/Salary Reduction Forms

Annual Enrollment Renewals

- Enrollment/Waiver Forms
- FOR ADP PAYROLL CLIENTS ONLY: Implement payroll deductions coded by the Sponsor to reflect changes in participant elections

On-going Support

- Record and maintain employee payroll deductions
- Dedicated POP Service Team with toll-free access

Plan Amendments

- ADP will prepare and send you plan amendments that are required to comply with the law and other amendment adopted by ADP as the service provider on behalf of all POP clients.

Compliance Testing and Support

ADP PAYROLL CLIENTS ONLY (see below):

- 1) ADP will perform Key Employee Concentration Test
- 2) ADP will perform the Nondiscriminatory Classification Test - Eligibility
 - If you use one ADP payroll product for all of your companies, and/or your employees are all in one ADP payroll region, ADP can perform the above two tests on a combined basis.
 - Compliance testing for clients that converted from Easy Pay to Run payroll products will begin no earlier than the first plan year beginning after January 1, 2014 or such other date that is administratively feasible for ADP.
- 3) You will perform Nondiscriminatory Classification Test - Contributions and Benefits; ADP will provide worksheet on how to perform this test.

Note: Any compliance testing conducted by ADP is advisory only. You as Plan Administrator retain responsibility for compliance testing. The accuracy of any such testing performed by ADP depends on Client's ability to provide accurate, complete and timely data.

STANDALONE PAYROLL CLIENTS:

- 4) ADP will provide worksheets ONLY for you to perform all three (3) of the above Compliance Tests

ADP PAYROLL CLIENT ONLY: All services are provided in accordance with the Terms and Conditions set forth on the payroll services agreement, as applicable, signed by your company when purchasing or transitioning to the POP service.

ADP Payroll Clients with Compliance Testing Service

ADP Payroll Clients:

As of this publication date, only the following ADP Payroll Clients receive the Compliance Testing Service set out in Chapter 7:

- Run (including Run Wholesale)
- Autopay (including Teledata)
- Resource (including Enterprise)
- Workforce Now
- Pay eXpert
- PC Clients

Standalone Payroll Clients - No Compliance Testing

Standalone Payroll Clients are (1) those clients who do not use ADP Payroll, or (2) clients using payroll products listed below, do not receive the compliance testing service (unless otherwise provided by ADP POP Client Services in writing):

- Internet Payroll Services
- Pro Business
- Total Source
- Pay Force
- Vantage
- Global View

CHAPTER 2 - COMMUNICATING WITH ADP

The following contains information that you will need to communicate effectively with ADP about your POP.

FOR PLAN ADMINISTRATOR USE ONLY:

For questions pertaining to the administration of your POP, please call our dedicated POP Client Services Team. (Please note that this line is intended for use by plan administrators only.)

**ADP POP Client Services Team Toll-free Number
1-866-ADP-4POP / 1-866-237-4767**

COMMUNICATING CHANGES ABOUT YOUR COMPANY:

In the event that certain changes occur in your company, it is important to call both your ADP POP Client Services Team and your ADP Payroll Client Service Representative. You should notify both departments when you experience any of the following:

- Change in company ownership or ownership structure (merger, acquisition, sale, etc.)
- Change in company codes or addition of a company code
- Transfer to a different payroll region or transfer to a different payroll product
- Change to any of your plan provisions that are set forth in the Plan Highlights portion of your plan.
- Change in company name
- Change in Employer Identification Number
- Change in billing address, company address, or telephone number
- Change in type of business entity
- Change in name of plan
- Change in your payroll provider

CHAPTER 3 - FIVE EASY STEPS TO STARTING YOUR POP

Your ADP POP Implementation Specialist will help guide you through the implementation process, from receipt and review of your plan documents, to training and enrollment support. For ADP Payroll clients, ADP also provides payroll coding support and coordination of your new pre-tax deduction(s).

STEP ONE – ADOPT THE PLAN

Your POP consists of TWO documents: (1) the ADP POP document and (2) the Plan Highlights which contains the specific provisions of your Plan as selected by your company. Your ADP POP Implementation Specialist will provide you with a form of Resolution of Adoption and Record of Adoption that your company can use to formally adopt your POP. (You should consult your legal advisor regarding what sort of formal action to adopt your Plan is appropriate for your business.) Please note that your POP may only be prospectively – not retroactively – effective. This means that it is very important that you take whatever formal action is necessary to adopt the Plan before the Plan's effective date. Failure to follow this requirement could result in the retroactive disqualification of your POP by the IRS. You should consult your legal and/or tax advisor if you have any questions about this.

If you have an affiliated company within your controlled group or affiliated service group whose employees will also be covered by the Plan, the terms of the Plan provide that the affiliate must formally adopt the Plan with the consent of your company. (In this case, both you and the adopting affiliate (called a Participating Affiliate under the Plan) should consult your legal advisor(s) regarding what sort of formal action to accomplish this is appropriate for your respective businesses.) If affiliate of your company will become a Participating Affiliate in the Plan, ADP recommends that your company and your affiliate take whatever formal action is necessary to accomplish this before the date as of which the affiliate's employees will be eligible to participate in the Plan.

STEP TWO – DISTRIBUTION AND REVIEW OF ENROLLMENT MATERIALS

Your ADP POP Implementation Specialist also will send you a POP Enrollment Package containing all of the necessary documents required for you to enroll your employees in your POP. Contained within the package will be the following documents:

- Plan Highlights
- Employee Calculator
- Plan Summary
- Enrollment Form/Salary Reduction Agreement

It is important for you to distribute and review the POP Enrollment Package with *all* employees that are eligible for this benefit.

STEP THREE - COLLECTING ENROLLMENT FORMS

It is equally important for you to collect enrollment forms from all your eligible employees regardless of whether they choose to participate or to not participate in the plan benefit. *Note: All forms must be kept in your files for seven (7) years.*

FOR CONVERSION PLANS: If you have converted an existing POP into the ADP POP program, please see the section entitled "Initial Enrollment" for further information.)

STEP FOUR - CODING YOUR EMPLOYEES IN PAYROLL

You must code all employees in all companies in your controlled group (including those who are not eligible to participate in the plan) with the proper nondiscrimination coding in the clock number, title, or status flag field, as applicable to your payroll system.

FOR ADP PAYROLL CLIENTS: The accuracy of the compliance reports generated by ADP to aid you in the administration of your company's Plan (Key Employee Concentration Test and Nondiscrimination Classification Test - Eligibility), as well as the compliance testing that you must perform yourself (Nondiscrimination Classification Test – Contributions) depends in large part on complete and accurate payroll coding. *Note: See Coding and Updating Payroll section for details on payroll coding.*

FOR STANDALONE CLIENTS: Prior to your first payroll, it will be important that you communicate to your payroll representative the employees whose deductions must remain as post-tax deductions.

STEP FIVE - PRE-TAX DEDUCTIONS BEGIN UNDER ADP POP

You are now ready to start your POP.

FOR ADP PAYROLL CLIENTS ONLY: You and your ADP POP Implementation Specialist will determine the beginning pay date for your *new* pre-tax deduction(s) to begin. For all participating employees, you will need to set up the new pre-tax deduction(s) and cancel the old post-tax deduction(s) on the designated beginning payroll date.**

Congratulations, you have completed the startup of your POP!

** If offered under your POP, premiums for Group Term Life Insurance coverage will be paid through the Plan on a pre-tax basis. The cost of coverage in excess of \$50,000 will be included in participant's taxable income as imputed income as required by law.

CHAPTER 4 - PARTICIPANT ENROLLMENT AND ELECTIONS

INITIAL ENROLLMENT

Each eligible employee should complete an Enrollment Form/Salary Reduction Agreement. Employees can opt in or waive participation on the Enrollment Form/Salary Reduction Agreement. Please note that ADP's POP Enrollment Form only covers enrollment in the POP itself. It is your responsibility to provide your eligible employees with the appropriate enrollment materials for the underlying benefits that your POP funds.

Deemed waiver: Under the terms of the ADP POP, a Participant who fails to return a completed enrollment form to the Plan Administrator when he first becomes eligible to participate is deemed to have elected to receive his or her full compensation in cash. No additional cash payment needs to be paid to the employee.

You may only allow your employees to participate in the POP on a prospective basis. In general, this means that an employee who meets your Plan's eligibility requirements should complete an Enrollment Form/Salary Reduction Agreement, as well as all such forms/agreements for your Plan's underlying benefits, before the your Plan's Participation Date as defined in the Plan Highlights. Under your Plan, if an employee returns an Enrollment Form/Salary Reduction Agreement before his effective date of participation, his election shall be effective on his effective date of participation. If, however, the employee returns the Enrollment Form/Salary Reduction Agreement within 30 days of his effective date of participation, his election shall not be effective until the first pay period following the later of his effective date of participation or the date you, the Plan Administrator, receive the form, and shall be limited to Benefit expenses incurred for the balance of the plan year.

Some benefits professionals interpret IRS guidance as supporting the position that eligible employees have until the end of the pay period that includes the Participation Date to make their initial elections. You should consult your tax/legal advisor and determine how your company will handle this initial enrollment issue and inform your employees of the deadline for submitting their enrollment materials.

FOR CONVERSION PLANS: If your ADP POP is an amendment and restatement of an existing POP previously in effect, you may but need not have current Participants reaffirm their current elections by having them execute the Enrollment Form / Salary Reduction Agreement provided to you for use in the ADP POP Program if you, as Plan Administrator, determine in your discretion that the enrollment forms currently in effect at the time of your plan's conversion into the ADP POP Program are consistent with the terms of the ADP POP document. If you determine that use of enrollment forms currently in effect for current participants is appropriate, you should utilize the form of Enrollment Form / Salary Reduction Agreement utilized under the ADP POP Program for employees who first enroll in your Plan after you have entered the ADP POP Program, and, as explained below, ADP strongly encourages you to have all participants with non-ADP enrollment forms execute the form of Enrollment Form / Salary Reduction Agreement provided to you for use in the ADP POP Program during your Plan's next annual open enrollment period.

ANNUAL OPEN ENROLLMENT

The ADP POP provides for open enrollment approximately 30 days prior to the beginning of each Plan Year (or such other period as you, the Plan Administrator, determine). In order to facilitate your administration of the annual open enrollment process, ADP will provide you with Enrollment Form/Salary Reduction Agreement forms for you to give to eligible employees for execution during open enrollment. Employees may also waive participation in the POP using the form.

FOR ADP PAYROLL CLIENTS: ADP will implement any changes to payroll deductions that you have coded for your Plan participants for the upcoming Plan Year based upon their elections during the open enrollment period. You will need to notify ADP payroll of any changes to your payroll deductions that are coded for Plan participants based upon their elections during the open enrollment period.

FOR STANDALONE CLIENTS: You will need to notify your payroll company of any changes to payroll deductions that are coded for Plan participants based upon their elections during the open enrollment period.

Under the terms of the ADP POP, a Participant's failure to return a completed enrollment form to the Plan Administrator on or before the specified date for any plan year after his or her first plan year of participation is treated as (a) an election to reelect the same benefit coverages, if any, that were in effect for the Participant just before the end of the preceding plan year and (b) an agreement to reduce the Participant's compensation for the upcoming plan year equal to his or her share of the cost during the Plan Year of the benefit coverage deemed elected.

FOR CONVERSION PLANS: If your ADP POP is an amendment and restatement of an existing POP previously in effect and you, as Plan Administrator, in your discretion have relied on non-ADP enrollment forms that were outstanding when you converted your Plan into the ADP POP program, ADP urges you to have all Participants with non-ADP enrollment agreements fill out the form of Enrollment Form / Salary Reduction Agreement provided to you for use in the ADP POP program during your Plan's next annual open enrollment period. Non-ADP enrollment forms are not designed to work with the ADP POP and may contain language inconsistent with the terms of the ADP POP.

MID-YEAR ELECTION CHANGES

The Internal Revenue Code requires employees' salary reduction elections to be in place for the entire plan year. An exception may be made under limited circumstances if an employee experiences a qualifying change event as defined in IRS Regulations. Under Section 125 of the Internal Revenue Code and IRS regulations, a participant's coverage elections in the underlying benefits coverage(s) funded through the POP for a given plan year cannot be changed during that plan year except in certain limited circumstances, and the Participant's new coverage election generally must be consistent with the reason for the change. The circumstances under which a Participant may make a mid-year election change in his underlying benefits coverage are described in full in your POP. You should review these provisions closely because it is your responsibility. To assist you in documenting the basis for a mid-year election change, ADP has created a Change in Election Event Certification Form to be completed by Participants who request a mid-year election change in their underlying benefits coverage. As Plan Administrator, you must document and approve all mid-year election changes requested by your Plan's participants.

If you have any questions regarding whether a Participant should be permitted to make a particular mid-year election change, you should consult your legal and/or tax advisor for guidance. ADP cannot provide you with legal or tax advice regarding your POP.

While the provisions of the POP set forth the specific rules governing mid-year election changes, there is one general principle that you must take care to enforce as the Plan Administrator – any mid-year election change that a Participant seeks to make must be both on account of and consistent with the stated reason for the change. In accordance with IRS regulations, the POP is quite specific about what types of election changes in underlying benefits funded through the POP are permitted in certain circumstances. In order to make sure that mid-year election changes are on account of the stated reason for the change, the POP also provides that any mid-year election change must be made within a reasonable period of time as established by the Plan Administrator after the date of the event giving rise to the requested change. As Plan Administrator, it is your responsibility to establish a procedure setting forth this time frame and communicate it to your Plan's Participants. While it is common for plan administrators to require that mid-year election changes be made within 30 days after the date of the event permitting the change, you may wish to consult with your legal and/or tax advisor in deciding whether this is a suitable period for your Plan.

With one exception, mid-year election changes in underlying benefits coverage may only be made prospectively effective. The one exception is a mid-year election change arising out of a "HIPAA special enrollment right" that involves acquisition of a Dependent child due to birth, adoption, or placement for adoption. Subject to the terms of your company's underlying group health plan, mid-year election changes in this situation may be retroactively effective for up to 30 days. You should contact your ADP POP Client Services Team and consult the underlying group health insurer and your legal and/or tax advisor if this situation arises.

While Participants completing the Change in Election Event Certification Form attest that the change in election they have requested is on account of and consistent with the change in election event indicated on the Form, you should obtain documentation for your files to support your determination regarding the appropriateness of the mid-year election change under your POP. Remember also, that the Change in Election Event Certification Form only addresses a change in the amount contributed under the POP for a particular benefit. Any paperwork

needed to change coverage under the applicable underlying benefit plan is a separate process governed by the terms of that benefit plan and is beyond the scope of these Procedures.

NOTE: *In general, it is advisable to have the plan year for your POP coincide with the contract year for your underlying insurance benefits, so that participants can take changes in premiums and benefit offerings (such as the addition of an indemnity option in your underlying health plan) into account when making their elections for the upcoming Plan year during your Plan's open enrollment period. If your plan year and your underlying contract years do not coincide, participants will only be able to change their POP elections in response to a change in your underlying benefit plans if those changes permit a mid-year election change under IRS regulations. (Consistent with IRS regulations, however, the ADP POP provides that if the cost of any coverage payable by a Participant under an underlying benefit plan is increased or decreased during the Plan Year, the compensation reduction amount of each Participant shall be automatically adjusted by the amount of the change.)*

If a Participant makes a mid-year election change under the POP that causes him to either switch from payroll deductions under the Plan to no payroll deductions, or switch from no payroll deductions under the Plan to payroll deductions, you should have the Participant complete a new POP Enrollment Form/Salary Reduction Agreement. If the Participant's mid-year election change involves only a change in coverage under underlying benefits funded through the Plan, you should have the Participant complete the paperwork required under the underlying benefit plan and the Change in Election Event Certification for your records.

Under the terms of the POP, if a Participant stops working for your company or a Participating Affiliate and is rehired in a later Plan Year, he will again become eligible to participate in the Plan if he meets the Plan's eligibility requirements. If a Participant terminates employment and is rehired in the same Plan Year, he may participate in the Plan during the remainder of that Plan Year as described in the following Note:

NOTE: *While termination and commencement of employment generally are events that permit a mid-year election change, the IRS is concerned that employees in some instances may terminate employment and be rehired shortly thereafter in order to justify a mid-year election change during a Plan Year. For this reason, the POP provides that if a Participant terminates employment, is rehired by the Plan's Sponsor or a Participating Affiliate within a certain number of days (as determined by the Plan Administrator) in the same Plan Year, and is eligible to reenter the Plan as described above, the Participant's pre-termination elections will be reinstated and he will not be permitted to make a new election for the remainder of the Plan Year. As Plan Administrator, it is your responsibility to establish a procedure setting a minimum time period between termination and recommencement of employment within the same Plan Year that will permit the Participant to make a mid-year election change upon returning to work, if he is eligible to reenter the Plan. Examples in the IRS regulations governing mid-year election changes suggest that the IRS believes 30 days is a reasonable minimum period in this situation.*

Special Mid-Year Change Election for 2013 Non-calendar Plan Year

In 2013, the IRS released guidance containing a transition rule for non-calendar year cafeteria plans. Under the IRS guidance, plan sponsors of non-calendar year POP plans can allow participants to make a mid-year change to their POP salary reduction election, on a prospective basis, for the remainder of the 2013 plan year if the Plan permits. In addition to the change events listed in the Plan, the POP Plan allows other mid-year changes that are consistent with IRS rules. Based on the IRS guidance and the existing POP Plan provisions, the Plan Administrator may determine that the Plan can allow participants to make a one-time, prospective election during the 2013 plan year to change their POP salary reduction election for the remainder of the 2013 plan year to change their pre-tax deductions for their health insurance coverage under the POP. If any employee wishes to take advantage of the special IRS transition rule mid-year change election, call the ADP POP Client Services Team for the form entitled, "POP — Change in Election Event Certification — Special Change Election for the 2013 Non-calendar Plan Year". You may require an employee to supply documentation in order to take advantage of the special IRS transition rule mid-year change election.

FMLA LEAVE PROCEDURES

If a Participant goes on unpaid leave under the Family and Medical Leave Act (FMLA), IRS regulations provide that your company must allow him to continue participating in the Plan in any manner consistent with IRS regulations. IRS regulations recognize the following options for handling premium payments in this situation:

(a) prepaying premiums before the Participant's FMLA leave begins; (b) paying premiums (on an after-tax basis) during the Participant's FMLA leave on the same schedule as payments would be made if the Participant were not on leave; or (c) under any system voluntarily agreed to by your company and the Participant that is not inconsistent with the regulations. Call the ADP POP Client Services Team if you have any questions regarding this issue.

NON-FMLA UNPAID LEAVE PROCEDURES

You may wish to establish policies and procedures permitting Participants who enter into an authorized, non-FMLA leave of absence to continue participating in your POP's underlying benefit plans. If you have such policies and procedures in place, a Participant in such a situation may continue participating in your POP. If you do not have such policies and procedures in place, the POP provides that a Participant in this situation will cease participating in the Plan when he begins an unpaid, non-FMLA leave. If your company's employment policies and procedures permit continued participation in the Plan in this situation, a Participant may choose either to continue participating in the Plan, on a pre-tax or after-tax basis, or to terminate coverage under the Plan. If the Participant elects to continue coverage on a pre-tax basis while on unpaid, non-FMLA leave, he must make his share of premium payments during the leave in accordance with rules determined by you (this can include prepayment of premiums). Entering into and returning from an unpaid leave of absence are both events that permit Participants to make a mid-year election change. Call the ADP POP Client Services Team if you have any questions regarding this issue.

CHAPTER 5 - AMENDING AND TERMINATING YOUR PLAN

ADP reserves the right to amend the ADP POP document at any time including, without limitation, to make sure that the Plan meets or continues to meet the requirements of the Internal Revenue Code and IRS guidance. ADP will provide you with written notice of any amendment applicable to your Plan that it makes to the ADP POP document, as long as you have engaged and retained ADP to provide administrative services in connection with your Plan.

You are required to adopt any amended and restated ADP POP document that you are provided in the same way as you adopt an amendment. The amended and restated plan will be effective upon your adoption.

Your company's Board of Directors, general partner, or sole proprietor, as the case may be, may also amend the Plan in writing. Your company's authority to amend the Plan, however, is limited to the Plan terms that are unique to your company as set forth in the Plan Highlights only, (i.e., eligibility, Eligible Benefits funded through the Plan, the Plan Year, etc.). Your company may not amend any other provision of the Plan.

If your company wishes to amend the terms set out in the Plan Highlights, you must first provide notice of the amendment to ADP by contacting your ADP POP Client Services Team. ADP reserves the right to cease providing administrative services in connection with the Plan if your company adopts an amendment that is inconsistent with the manner in which ADP provides its services under the ADP POP Program. If ADP concludes that your amendment is consistent with the manner in which ADP provides its Services under the POP Program, ADP will provide you with a form of Resolution of Amendment for your use in formally adopting your Plan amendment. Any amendment adopted by your company may not be retroactively effective.

Under the terms of the Plan, your company's Board of Directors, general partner, or sole proprietor, as the case may be, reserves the right to terminate the Plan. You are required to notify ADP in writing at least 30 days in advance of the plan termination. Any action taken by the company to terminate the Plan must be prospectively effective and may not affect the rights of Participants to receive benefits to which they are entitled prior to the date your company takes formal action to terminate the Plan. Your company should consult its legal and/or tax advisor if it is considering terminating the Plan.

CHAPTER 6 – ANNUAL REPORT, PARTICIPANT DISCLOSURES AND CLAIMS PROCEDURES

ANNUAL REPORTS (FORM 5500)

The IRS does not require Form 5500 Annual Report to be filed for Code Section 125 “cafeteria” plans such as your POP. However, you may need to file Form 5500 for the underlying benefit plans that your POP funds. In most cases, the underlying benefit plans are subject to the Employee Retirement Income Security Act of 1974, as amended (ERISA), which imposes its own set of reporting requirements. If you have any questions regarding these requirements, you should contact your tax or legal advisor. If the IRS does decide to reinstate a reporting requirement, the IRS will provide advance notice of its decision.

PARTICIPANT DISCLOSURES

ADP will provide you with a Plan Summary for distribution to all participants eligible to participate in your POP.

CLAIMS PROCEDURES

If a participant in your POP has a claim or dispute concerning one of the underlying benefit plans whose premiums are paid through the Plan, those claims are reviewed in accordance with procedures contained in the underlying plan documents and policies. If a participant has a claim that arises under the POP itself (such as whether a particular event would permit a mid-year election change), you as the Plan Administrator should review those claims and requests under the following claims procedures. Participants are informed of these procedures in the Plan Summary that accompanies their Enrollment Form.

Claims under the POP should be made by submitting a written application (using the appropriate form, if applicable) to the Plan Administrator. Upon receipt of a claim, you, as the Plan Administrator, must notify the claimant of the time periods within which you will make your decision and the time within which the claimant must appeal your decision if he wishes. In the event that a claim is denied in whole or in part, you must inform the claimant of the procedures to be followed to appeal the decision. These procedures are described below.

Any person whose claim has been denied may file a written appeal with you within 90 days after receipt by the claimant of written notification of the denial. The claimant or his authorized representative may review any pertinent documents and submit any issues or comments to you as part of this appeal. You should afford the claimant and/or his authorized representative an opportunity for a full and fair review of the claim and your decision. When you receive an appeal, you must make your decision within 60 days after you receive the written appeal. You may extend this time by up to 60 days because of special circumstances, provided that you provide written notice of the extension and the reasons for it to the claimant.

CHAPTER 7 - OVERVIEW OF COMPLIANCE NONDISCRIMINATION TESTS

POPs are subject to several compliance nondiscrimination tests. These tests are imposed under Code Section 125 and are designed to ensure that employers do not use POPs to disproportionately favor highly compensated and key employees. This chapter provides an overview of the compliance nondiscrimination test requirements.

GETTING STARTED

Your POP must satisfy three nondiscrimination requirements each plan year - the Key Employee Concentration Test, the Nondiscrimination in Eligibility Test, and the Nondiscrimination in Contributions and Benefits Test.

NOTE: *One or more of the underlying Benefit plans funded through your POP may be subject to nondiscrimination requirements which, if failed, could prevent those Benefits from being offered on a pre-tax basis to your employees. On a very general basis, if each underlying Benefit plan funded through your POP permits all of your employees (determined on a controlled group/affiliated service group basis) to participate on the same terms and determines their contributions and benefits on the same basis, these underlying Benefits will be nondiscriminatory. ADP's POP services are designed with the assumption that your underlying Benefit plans are nondiscriminatory. A discussion of the nondiscrimination requirements that may apply to your POP's underlying Benefits is beyond the scope of this Procedures Document. ADP recommends that you consult your legal and/or tax advisor regarding these additional requirements.*

NOTE: *POPs that are maintained for union employees under a collective bargaining agreement between your company and a union are automatically treated as nondiscriminatory under the Internal Revenue Code and do not have to be tested.*

FOR ADP PAYROLL CLIENTS ONLY: If you are an ADP payroll client, then ADP will perform the Key Employee Concentration Test and the Nondiscrimination in Eligibility Test for you. ADP is not able to perform the Nondiscrimination in Contributions and Benefits Test, because ADP does not have access to the data necessary to perform that test. ADP does, however, provide you with Worksheet D below to assist you in performing this test.

NOTE: *The quality of the testing ADP delivers ultimately depends on you and the work you do to code your payroll completely and accurately. You must enter certain information into payroll for each employee. Incorrect coding will result in incorrect test results. If ADP detects invalid or missing POP payroll coding within your employee data, ADP will make certain assumptions intended to produce a conservative test result and report them to you on the Company/Employee report. This report will list the employees with invalid data and the assumptions made. However, if ADP detects invalid coding in more than 20% of your employees, ADP will not be able to perform any nondiscrimination tests for your POP testing for the plan. You will be notified and a Company/Employee report will be included listing all employees with invalid data. Please refer to Chapter 8 of this Procedures Document for information on coding.*

FOR STANDALONE PAYROLL CLIENTS: If you are not an ADP payroll client or are a client using an ADP payroll product that is not supported by POP compliance testing (see Chapter 1 for list), then ADP is not able to perform the nondiscrimination tests for you. Detailed worksheets are provided below to assist you and/or your advisor(s) in performing certain tests to demonstrate your POP's compliance with these requirements.

KEY EMPLOYEE CONCENTRATION TEST

The first nondiscrimination requirement is that the value of the total Benefits selected by your Key Employees in each plan year may not disproportionately exceed those elected by all employees in the plan year. Satisfaction of this requirement must be demonstrated for each plan year by conducting what is referred to in this Procedures Document as the Key Employee Concentration Test. Under the Key Employee Concentration Test, the value of the total non-taxable Benefits selected by Key Employees cannot exceed 25% of the total non-taxable Benefits selected by all employees under the plan. If the Key Employee Concentration Test is failed for a given plan year, then each Key Employee will be taxable on the maximum taxable Benefits that he or she could have selected for the plan year.

FOR ADP PAYROLL CLIENTS: ADP will perform the Key Employee Concentration test for you based on the employee coding you input into the payroll system. *See Coding and Updating Payroll section for details on payroll coding.* ADP will perform this test on a monthly, interim basis throughout the year. If your Plan fails an interim Key Employee Concentration test, the ADP POP document authorizes you as the Plan Administrator to take such action as is necessary to ensure that your Plan passes for the Plan Year, including adjusting the elections of Key Employees as needed.

FOR CONVERSION PLANS: If your ADP POP is an amendment and restatement of an existing POP previously in effect and you convert into the ADP POP Program in the middle of a plan year, ADP will be unable to provide you with a reliable Concentration Test for the plan year in which you convert, as ADP will not have access to your full plan year's contributions. In this case, you will need to consult your legal and/or tax advisor to confirm whether your Plan has passed the Concentration Test for the plan year of the conversion.

NONDISCRIMINATION IN ELIGIBILITY TEST

The second nondiscrimination requirement is that the Plan not discriminate in favor of Highly Compensated Individuals (HCIs) as to eligibility to participate. The Internal Revenue Code defines HCI to include any individual who is an (1) officer; (2) shareholder owning more than 5% of the value or voting power of employer stock; (3) highly compensated employee (HCE); and (4) spouse or dependent of any of these individuals.

It is possible that your POP may satisfy the nondiscrimination in eligibility test by the way it is designed. If all employees (including leased employees, if any, and determined on a controlled group or affiliated service group basis, if applicable) are eligible to participate in your Plan at the same time, the waiting period (if any) for participation is not more than three years, and entry into the Plan occurs no later than the first day of the first plan year after the eligibility waiting period is satisfied, your Plan should automatically satisfy the nondiscrimination in eligibility test.

If, however, one or more groups of your employees are not eligible to participate in your Plan (for example, if part-time or seasonal employees are not eligible to participate in the Plan, or if different underlying Benefits have different eligibility rules), your Plan will need to be tested to demonstrate that it does not discriminate as to eligibility. The IRS provides a "safe harbor" test that can be used to demonstrate that your Plan is nondiscriminatory as to eligibility to participate.

The safe harbor test requires you to measure the ratio of the percentage of Non-Highly Compensated Employees (NHCEs) eligible to participate in the Plan against the percentage of Highly Compensated Employees (HCEs) eligible to participate in the Plan. You may utilize the safe harbor test as long as two requirements are met:

- ▶ No employee is required to complete more than three (3) years of employment to participate in your Plan and all employees are subject to the same employment requirement; and
- ▶ Any employee who meets the Plan's employment requirement and is otherwise eligible to participate begins participating in your Plan no later than the first day of the first plan year after he satisfies the requirement (unless the employee terminates employment beforehand).

If your Plan's eligibility and participation provisions do not permit eligibility to be tested using this safe harbor, you will need to consult your legal and/or tax advisor to conduct this test yourself.

If your Plan fails the nondiscriminatory eligibility requirement for a given plan year, each HCE will be taxable on the maximum taxable benefits that he or she could have selected under the Plan for the plan year. The ADP POP document authorizes you as the Plan Administrator to take such action as is necessary to ensure that your Plan passes this requirement for the Plan Year.

IMPORTANT NOTE: *You should take extra care with regard to the Nondiscrimination in Eligibility Test, particularly if your Plan is not eligible to use the "safe harbor" test described above. If the eligibility and participation provisions of your Plan's underlying Benefits (which determine eligibility to participate in your Plan) do not permit this test to be run using the safe-harbor method, you will need to consult your legal and/or tax advisor regarding an appropriate testing method to demonstrate that your Plan's eligibility provisions do not discriminate in favor of Highly Compensated Individuals.*

FOR ADP PAYROLL CLIENTS: ADP will perform the Nondiscrimination in Eligibility Test for your Plan on a monthly, interim basis throughout the year based upon the assumption that your Plan's eligibility and participation provisions enable your Plan to be tested using the safe harbor testing method. If your Plan fails an interim test, then as noted above, ADP POP document authorizes you as the Plan Administrator to take such action as is necessary to ensure that your Plan passes this requirement for the Plan Year. If your Plan's eligibility and participation provisions do not permit eligibility to be tested using the safe harbor testing method, you will not be able to rely upon the test conducted by ADP and will need to consult your legal and/or tax advisor to conduct this test yourself. If you have any questions about whether your Plan's eligibility provisions permit reliance on the Nondiscrimination in Eligibility Test, you should contact your legal and/or tax advisor.

FOR STANDALONE PAYROLL CLIENTS: You may use the worksheet below to guide you in performing the Nondiscrimination in Eligibility Test.

Nondiscrimination in Contributions and Benefits Test

The third nondiscrimination requirement is that the Plan not discriminate in favor of Highly Compensated Participants (HCPs) as to contributions and benefits. The Internal Revenue Code defines HCP to include any participant in the Plan who is (1) an officer; (2) a shareholder owning more than 5% of the value or voting power of employer stock; (3) a highly compensated employee (HCE); or (4) a spouse or dependent of any of these individuals. In general, your Plan's HCPs may well be the same as the employees you have determined are HCEs for purposes of conducting the Nondiscrimination in Eligibility Test. It is possible, however, that there may be one or more participants in your Plan (such as an officer or a spouse or dependent of an HCP) who are HCPs that must be included in testing to demonstrate that your Plan meets this nondiscrimination requirement but are not HCEs.

The Internal Revenue Code provides a "safe harbor" test that can be used to demonstrate that your Plan is nondiscriminatory as to contributions and benefits. This safe harbor test requires employers to compare the availability and cost of Benefits to similarly situated participants (e.g. single to single, family to family, appropriate age groups). This safe harbor test is available for use by POPs such as your POP if the plan includes the opportunity to purchase health benefits on a pre-tax basis. *Because ADP does not have access to the data required to perform this test, we have provided you with a worksheet to help you perform the test yourself with the assistance of your legal and/or tax advisor. Please see Worksheet D in Chapter 7 of this Procedures Manual.* The worksheet assumes that your Plan includes the opportunity to purchase health benefits on a pre-tax basis and that you are able to utilize the safe harbor version of this test. While you should have your legal and/or tax advisor review all compliance testing conducted for your Plan, you should take extra care to consult your advisors if your Plan is not eligible to use this safe harbor test.

A NOTE ABOUT CONTROLLED GROUPS AND AFFILIATED SERVICE GROUPS

Two or more employers may be included under one POP document if they are members of a "controlled group" or an "affiliated service group," as defined in the Internal Revenue Code and related regulations. A simplified description of a controlled group of corporations is as follows: A "parent-subsidiary" controlled group exists where there are one or more chains of subsidiary corporations connected through ownership with a common parent and (a) 80% or more (by value or voting power) of each corporation is owned (both directly and through option rights) by one or more of the other corporations; and (b) the common parent owns (both directly and through option rights) at least 80% (by value or voting power) of at least one of the other corporations. A "brother-sister" controlled group exists where five or fewer persons own stock possessing: (a) 80% or more (by value or voting power) of each corporation; and (b) more than 50% (by value or voting power) of each corporation when taking into account each stockholder's interest only to the extent that he has identical interests in each corporation. (A stockholder's interest is only considered for purposes of the 80% test if he owns at least some interest in each corporation in the group.) Controlled groups and affiliated service groups can also exist among other types of businesses, such as partnerships and sole proprietorships, in which case the determination is made on the basis of other types of ownership interests.

IMPORTANT: *The controlled group and affiliated service group rules are very complex. Please consult with your legal and/or tax advisor for more detailed information on the rules for controlled groups and affiliated service groups and how they may apply to your situation. In addition, if there are changes to your company's ownership structure after your POP has been implemented, you must contact your POP Client Services Team and submit new controlled group and affiliated service group documentation.*

The compliance tests described above are required to be conducted with reference to the controlled group and affiliated service group rules and without regard to special rules known as the "separate line of business" rules. ADP can perform these compliance tests with respect to the employees of the controlled group and/or affiliated service group (if any) defined by you in the controlled group/affiliated service group documentation you provide

to ADP only if all members of your controlled group or affiliated service group are payroll clients of ADP processed within the same ADP payroll region. If all members of your controlled group or affiliated service group are not payroll clients of ADP processed within the same ADP payroll region, you will not be able to rely upon the compliance test results provided by ADP and will need to consult with your legal and/or tax advisor to have these tests run with reference to your entire controlled group/affiliated service group.

A NOTE ABOUT LEASED EMPLOYEES

The compliance tests described above are required to be conducted taking leased employees into account. A leased employee is a person who is not your employee and provides services to your company or any affiliate under an agreement with a leasing organization on a substantially full-time basis for at least one year, under your primary direction or control. Because ADP conducts the compliance tests based upon payroll coding, it will not pick up leased employees who are not on your payroll, and you will not be able to rely upon the compliance test results provided by ADP if you use the services of leased employees. If you use the services of leased employees, you will need to consult with your legal and/or tax advisor to consider having these tests run independently.

WORKSHEETS FOR COMPLIANCE NONDISCRIMINATION TESTS

ADP recommends that you carefully review the worksheets in this chapter with your tax and legal advisors. The ADP POP document authorizes you as the Plan Administrator to take such action as is necessary to ensure that your Plan passes the nondiscrimination tests for the plan year, including adjusting the elections of Key Employees or Highly Compensated Employees as needed if you determine during the plan year that your Plan may fail one or more tests. ADP recommends that you perform the tests periodically during each plan year and monitor the results throughout the year. *In all events, we urge you to consult with your legal and/or tax advisor to assist you in completing these worksheets. The rules in this area are very complicated and are subject to change.*

Worksheet A – Nondiscrimination Test Data

1. KEY EMPLOYEE DATA

A Key Employee is an employee who at any time during the current plan year¹ is any of the following:

- **An Officer:**

An officer of the company who earned over a certain compensation limit for the plan year. For 2015 this amount is \$170,000. This figure may be adjusted by the IRS for inflation in the future.

- The term “officer” refers to an employee with officer responsibilities who functions on a continuous basis as an officer. This would include an employee with duties normally associated with those of an officer, irrespective of the job title.
- It is not necessary to classify all officers with earnings over the compensation limit as Key Employees, since the maximum number of officers you need to classify as Key Employees is the greater of three (3) or 10% of all employees in the controlled group or affiliated service group. If your company has 30 or fewer employees, no more than three officers should be classified as Key Employees due to their officer status. If your company has between 30 and 500 employees, no more than 10% of all employees can be classified as officers for Key Employee purposes.

- **A More than 5% Owner:**

An owner of more than 5% of the stock of a corporation or more than 5% of a corporation’s voting power, or an owner of more than 5% of the capital or profits interest in an employer that is not a corporation. *(Please refer to the section entitled “Stock Ownership/Attribution Rules” in this Procedures Document.)*

¹ Some employers who sponsor both a POP and a qualified retirement plan may choose to determine key employees for purposes of their POP on the basis of who is a key employee as of the last day of the preceding plan year, as they do for their qualified plan. There is no IRS guidance on this issue.

- **A More than 1% Owner with compensation of more than \$150,000:**

An individual who is both:

- An owner of more than 1% of the stock of a corporation or more than 1% of a corporation's voting power, or an owner of more than 1% of the capital or profits interest in an employer that is not a corporation. *(Please refer to the section entitled "Stock Ownership/Attribution Rules" in this Procedures Document.)*

AND

- *Earns more than \$150,000 for the plan year.*

An employee is deemed a Key Employee if he or she meets one or more of the above definitions.

- **Non-Key Employee**

The remaining employees in your company who do not meet any of the Key Employee categories above are Non-Key Employees for purposes of conducting the Key Employee Concentration Test.

Example: The XYZ Company establishes the company's POP on January 1, 2015, with a plan year that is the same as the calendar year. On December 31, 2015, the Plan Administrator reviews the company's payroll report to verify that the employees have been properly coded as Key and Non-Key Employees. The following lists the employees of XYZ Company:

Name	Total Compensation 1/1/15 - 12/31/15	Owners/ Officers	Other	Comments
John Doe	\$200,500	50%	President	
Harry Smith	\$200,500	50%	Vice President	
Susan Bean	\$143,600			
James Brown	\$175,000		Controller	
Bruce Springer	\$40,000			
Elaine Wiser	\$35,000			
Mary Doe	\$25,000			Wife of John Doe
Melvin Smith	\$17,000			Son of Harry Smith
Gil Smith	\$16,000			Brother of Harry Smith
Carmela Sweet	\$7,000			Works only 4 months each yr.
Jim Trainee	\$15,000			Is age 17

To determine the Key Employees in the XYZ Company example:

- List the officers of the company who earned over \$170,000 for the plan year:
John Doe, Harry Smith, James Brown

Remember that the total number of officers you must count as Key Employees is the greater of three or 10% of all employees in your controlled group or affiliated service group. Since three (3) is greater than 10% of the 11 employees listed for XYZ Company, all three officers at XYZ are included in this category.

- List the more than 5% owners:
John Doe, Harry Smith, Mary Doe, Melvin Smith

The Stock Ownership Rules (refer to Stock Ownership Rules in this section) consider Mary as an owner of John's stock and Melvin as an owner of Harry's stock. Note that Harry's brother, Gil, is not a family member subject to the Stock Ownership Rules.*

- *List the more than 1% owners who have earned over \$150,000 for the plan year.
John Doe, Harry Smith*

The Key Employees of the XYZ Company for the 2015 plan year are:

*John Doe
Harry Smith
James Brown
Mary Doe
Melvin Smith*

The remaining employees do not meet the Key Employee criteria and should be treated as Non-Key Employees in conducting the Key Employee Concentration Test.

2. HIGHLY COMPENSATED EMPLOYEE (HCE) DATA

A Highly Compensated Employee (HCE) is an employee who meets any of the following criteria

- **A More Than 5% Owner:**
An employee who, in the current plan year or the look-back year (the 12-month period preceding the plan year being tested), is / was an owner of more than 5% of a corporation's voting power, or an owner of more than 5% of the capital or profits interest in an employer that is not a corporation (Stock Ownership/Attribution Rules apply); or,
- **An HCE Based on salary in the look back year and, if the company elects, the Top-Paid 20% Group:***
*An employee who earned more than a certain compensation limit in the look-back year (the 12-month period preceding the plan year being tested)** - \$115,000 in 2013 or 2014, as adjusted for inflation -- and, if the company so elects for all retirement and nonretirement plans in its controlled group (if any), is in the top 20% highest paid group for that year.*

Example (assuming a calendar plan year):

- Employee makes \$115,000 in 2014 and is in the top 20% paid group (if elected) - HCE for the 2015 plan year.
- Employee makes \$105,000 in 2014 - NHCE for the 2015 plan year.

***NOTE:** *The top 20% highest paid group limitation is optional under the Internal Revenue Code. The IRS requires that if any employer-sponsored plan (regardless of whether the plan is a retirement plan or not) within a controlled group limits HCEs to the top 20% highest paid group, every plan sponsored by any member of that controlled group must use this limitation. Before deciding whether or not to use the top 20% highest paid limitation, you should determine whether or not the limitation is used in the other retirement and nonretirement plans in your controlled group (if any).*

****NOTE:** *If your Plan uses a non-calendar plan year, the compensation limit that applies to a look-back year is the compensation limit for the calendar year in which the look-back year begins. If your Plan uses a non-calendar plan year, you may also have the option of making a "calendar year election" to determine HCE status on the basis of compensation, as long as you adhere to a consistency rule for all of your plans (retirement and otherwise). The calendar year election is complex and you should consult your legal and/or tax advisor if you are interested in this election.*

If your company elects to use the top 20% highest paid group limitation to determine HCEs on the basis of salary, the following explains how to apply the limitation:

How to determine the number of employees in the Top 20% Highest Paid Group

1. Count the number of employees on the payroll during the look-back year. Include all active and terminated employees and employees not offered the plan (all employees in the controlled group / affiliated service group) including leased employees, if any.
2. Count the number of employees who:
 - a) Have not completed 6 months of service in the prior year.
 - b) Work less than 17 1/2 hours a week for 50% or more of the total weeks worked during the year.
 - c) Normally work not more than 6 months a year.
 - d) Have not attained age 21 by the last day of the prior year.
 - e) Are union employees, if 90% or more of the workforce is union and your plan covers only non-union employees.
 - f) Are non-resident aliens who receive no U.S. source of income.

Add (a) through (f) and get a total.

3. Subtract the total number of employees in step 2 from the total number of employees in step 1.
4. Multiply the number in step 3 by 20%. This gives you the number of employees to be included in the Top 20% Highest Paid Group.

How to determine which employees are in the Top 20% Highest Paid Group

1. Construct a list of your company's employees (from step 1 above) and rank them by look-back year compensation from highest to lowest. When determining each employee's compensation, include actual (not annualized) total earned income, which includes wages, salaries and fees, commissions, tips, bonuses, and 401(k) deferrals.
2. Use the number derived in Step 4 above and count down that number of employees from the top of the list. These employees are in the Top 20% Highest Paid Group.
3. Those employees you have identified as being in the Top 20% Highest Paid Group who earned more than the HCE compensation limit in the look-back year (\$115,000 in 2013 or 2014) are your Plan's HCEs. If the company has more employees who have earned over the compensation limit than the number that represents the Top 20% Highest Paid Group, only the Top 20% Highest Paid Group should be considered HCEs.

Nonhighly Compensated Employees

The remaining employees in your company (and its controlled group or affiliated service group, if applicable) who do not fall within the definition of HCE should be treated as nonhighly compensated employees (NHCEs) for purposes of conducting the Nondiscrimination in Eligibility Test.

3. STOCK OWNERSHIP AND ATTRIBUTION RULES

Special rules under the Internal Revenue Code state that an individual is treated as owning the stock owned by his or her spouse, children, grandchildren and parents. These rules can be illustrated in the following examples:

Example 1:

John Doe and Harry Smith are both employees of the XYZ Company and each owns 50% of the company. Among the employees of the company is John Doe's wife, Mary, who earned \$25,000 and Harry Smith's son, Melvin, who earned \$17,000.

Under the stock ownership rules, Mary Doe is considered to own the stock that her husband John owns and Melvin is considered to own the stock that his father Harry owns.

All four employees are considered to own more than 5% of the stock of XYZ company.

Example 2:

Susan Jones, an employee of the OK Company, is a 2% owner of the company. Her husband, Joe, is also an employee and owns 3% of the company. The IRS rules consider each to own 5% of the OK Company.

Similarly, a partner is treated as owning a proportionate amount of any interest owned by his/her partnership, and a corporation is deemed to own a proportionate share of any stock owned by a 50% or more shareholder. In general, once an individual has an interest attributed to him or her, the individual is treated as actually owning it. However, once an individual is treated as owning an interest under the stock attribution rules, the individual is not treated as owning the interest for purposes of determining what another individual owns under the stock attribution rules. The Stock Ownership rules are important in determining whether an individual is a Key Employee and/or an HCE and can be highly complex. *If you are uncertain as to the application of these attribution rules, you should consult your legal and / or tax advisor for guidance.*

Worksheet B - The Key Employee Concentration Test

STEP 1: Determine your Key Employees for the Plan Year (refer to the Key Employee Determination Guidelines for guidance)

STEP 2: Determine total pre-tax deductions for the Plan Year for your Key Employees
Enter the amount here: _____

STEP 3: Determine the total pre-tax deductions for the Plan Year for both Key and Non-Key Employees
Enter the amount here: _____

STEP 4: Determine your Key Employee Concentration Percentage
Divide the Key Employees' total pre-tax deductions by the total pre-tax deductions for the plan. Enter percentage here: _____

STEP 5: Is the Concentration Percentage in Step 4 25% or less? If Yes, this test is PASSED for the Plan Year. If No, this test is FAILED for the Plan Year.

IMPORTANT: ADP encourages you to monitor your POP's Key Employee Concentration Percentage throughout the plan year by conducting periodic interim testing. The POP document authorizes you as the Plan Administrator to take such action as is necessary to ensure that your Plan passes for the plan year, including adjusting the elections of Key Employees. If you believe that your POP may fail the Key Employee Concentration Test as of the end of the plan year based on interim test results, you should determine appropriate corrective action that may be taken before the end of the Plan Year.

If you determine that your POP has failed the Key Employee Concentration Test as of the end of the plan year, Key Employees will be taxable on the maximum taxable Benefits that they could have elected for the plan year. If you determine that your POP has failed this test for the plan year, you should seek the advice of your legal and/or tax advisor to determine what steps should be taken by you and your Key Employees.

Worksheet C - The Nondiscrimination In Eligibility Test

IMPORTANT: The results of this test are entirely dependent upon the quality of the data that you compile. If you have questions regarding eligibility or whether or not your test can be conducted using the "safe-harbor" testing method described below due to eligibility restrictions that are imposed in your underlying Benefits, you are strongly encouraged to seek the advice of your legal and/or tax advisor.

The classification of employees eligible to participate in the plan must be reasonable. The IRS takes the position that a classification is reasonable if it is established under objective business criteria that identify that category of employees who benefit under the Plan. Your Plan defines eligibility in terms of eligibility for the underlying Benefits funded through the Plan. As long as your Plan's underlying Benefits impose objective criteria that identify the employees who are eligible to participate, the classification of employees eligible to participate in your Plan will likely be a reasonable classification. Because this portion of the test is essentially subjective, however, you will need to reach your own conclusions on this issue.

STEP 1: Determine the population of employees to be included in the test. (Taking into account Controlled Group/Affiliated Service Group Rules)

Certain groups of employees may be excluded when performing this test if they are excluded from participating in your Plan due to eligibility limitations in your underlying Benefits:

- Union employees who are part of a collective bargaining agreement.
- Non-resident aliens with no-U.S. source of income.
- Employees younger than age 21 (if they are actually excluded from participation)
- Employees who have completed less than one year of service (if they are actually excluded from participation)

NOTE: If your POP's underlying Benefits provide that employees scheduled to work less than a specified number of hours per week (i.e. part-time employees) are ineligible, these employees **cannot** be excluded from your Nondiscrimination in Eligibility Test - Eligibility once they attain any age or service requirement your Plan may impose through those underlying Benefits. For example, if your plan's underlying benefit plans state that employees who have worked 6 months and are scheduled to work at least 30 hours per week are eligible to participate, employees who are scheduled to work less than 30 hours per week but have worked for more than 6 months must be included in your Eligibility test.

STEP 2: Determine who are the HCEs and who are the NHCEs in the population determined in Step 1.

Following the HCE Determination Guidelines provided in this Procedures Document, segregate the employee population included in your Eligibility test into HCEs and NHCEs.

Enter the number of employees in each group here: HCE: _____

NHCE: _____

Total: _____

STEP 3: Looking at the HCE / NHCE populations identified in Step 2, identify the employees that are eligible to participate in your Plan and those who are not eligible to participate in your Plan.

An employee who is eligible to participate in the POP is still considered eligible and benefiting even if he has elected not to pay pre-tax premiums through the Plan.

Enter the number of employees in each group:

HCE (eligible): _____ NHCE (eligible): _____

HCE (ineligible): _____ NHCE (ineligible): _____

STEP 4: Determine the NHCE Concentration Percentage:

Your Plan's NHCE Concentration Percentage is the percentage determined by dividing the total number of NHCEs included in your Eligibility test by the total number of employees included in your Eligibility test.

In order to determine your Plan's NHCE Concentration Percentage, go to Step 2 above and divide the total number of NHCEs by the total number of employees and enter the percentage here: _____.

NOTE: Your NHCE Concentration Percentage should be the highest whole percentage actually reached. For example, if the percentage is 68.02%, your Plan's NHCE Concentration Percentage is 68%.

STEP 5: Go to the IRS Nondiscriminatory Classification Table accompanying this discussion and using the NHCE Concentration Percentage from Step 4, find the corresponding Safe Harbor Percentage and Unsafe Harbor Percentage and enter them in the space below:

Nondiscriminatory Classification Table*

NHCE Concentration Percentage	Safe Harbor Percentage	Unsafe Harbor Percentage
0-60	50.00	40.00
61	49.25	39.25
62	48.50	38.50
63	47.75	37.75
64	47.00	37.00
65	46.25	36.25
66	45.50	35.50
67	44.75	34.75
68	44.00	34.00
69	43.25	33.25
70	42.50	32.50
71	41.75	31.75
72	41.00	31.00
73	40.25	30.25
74	39.50	29.50
75	38.75	28.75
76	38.00	28.00
77	37.25	27.25
78	36.50	26.50
79	35.75	25.75
80	35.00	25.00
81	34.25	24.25
82	33.50	23.50
83	32.75	22.75
84	32.00	22.00
85	31.25	21.25
86	30.50	20.50
87	29.75	20.00
88	29.00	20.00
89	28.25	20.00
90	27.50	20.00
91	26.75	20.00
92	26.00	20.00
93	25.25	20.00
94	24.50	20.00
95	23.75	20.00
96	23.00	20.00
97	22.25	20.00
98	21.50	20.00
99	20.75	20.00

Safe Harbor Percentage: _____

Unsafe Harbor Percentage: _____

STEP 6: Calculate the Plan's Ratio Percentage:

Your Plan's Ratio Percentage is the ratio of the percentage of NHCEs eligible to participate in the Plan to the percentage of HCEs eligible to participate in the Plan. This is calculated using the following formula and the numbers from Step 3

Number of eligible NHCEs: _____

Divided By

Total number of NHCEs: _____

A. Enter Result Here: _____

Number of eligible HCEs: _____

Divided By

Total number of HCEs _____

B. Enter Result Here: _____

C. Divide A by B and enter result here _____. This is your Plan's Ratio Percentage.

STEP 7: Compare Your Plan's Ratio Percentage to its Safe Harbor Percentage and Unsafe Harbor Percentage (as determined in Step 5)

If your Plan's Ratio Percentage (as determined in Step 6 C) is GREATER than the Safe Harbor Percentage, your Plan has PASSED the Nondiscrimination in Eligibility Test

If your Plan's Ratio Percentage (as determined in Step 6 C) is between the Safe Harbor Percentage and Unsafe Harbor Percentage, whether your Plan passes the Nondiscrimination in Eligibility Test depends upon a review of facts and circumstances.

In this situation, the Nondiscrimination in Eligibility Test is passed if IRS finds the classification of eligible employees to be nondiscriminatory based on the relevant facts and circumstances, including the following:

- The underlying business reason for the classification. (The greater the business reason, the more likely the classification is to be nondiscriminatory. Reducing employer costs is not a relevant business reason.)
- The percentage of the employer's employees benefiting under the Plan. (The higher the percentage, the more likely the classification is nondiscriminatory.)
- Whether the number of employees benefiting in each salary range is representative of the number of employees in each salary range of the employer's employees.
- How close the Plan's Ratio Percentage is to the Plan's Safe Harbor Percentage.

If your Plan's Ratio Percentage falls between the Safe and Unsafe Harbor Percentages, you should consult with your tax and/or legal advisor to determine whether your company can reasonably take the position that its Plan meets the Nondiscrimination in Eligibility Test.

If your Plan's Ratio Percentage (as determined in Step 6 C) is less than the Unsafe Harbor Percentage, your Plan has FAILED the "safe harbor" version of the Nondiscrimination in Eligibility Test.

If this occurs, you may wish to consult with your legal and/or tax advisor. There are many aspects of POP nondiscrimination testing on which the IRS has not issued guidance. Some advisors may take the position that there are additional ways to pass the Nondiscrimination in Eligibility Test or that this test is not the only way to show that a cafeteria plan's eligibility rules are nondiscriminatory.

IMPORTANT: ADP encourages you to monitor your POP's Nondiscrimination in Eligibility Test throughout the plan year by conducting periodic interim testing. The POP document authorizes you as the Plan Administrator to take such action as is necessary to ensure that your Plan passes for the plan year. If you believe that your POP may fail the Nondiscrimination in Eligibility Test – Eligibility as of the end of the plan year based on interim test results, you should seek to take appropriate corrective action before the end of the Plan Year.

If you conclude that your Plan has failed the nondiscrimination in eligibility test for a given plan year, each HCE will be taxable on the maximum taxable Benefits that he or she could have selected under the Plan for the plan year.

Worksheet D - The Nondiscrimination In Contributions And Benefits Test

This worksheet is designed to help you determine whether your POP meets the Nondiscrimination in Contributions and Benefits Test. As noted above, this worksheet is intended to assist you in conducting a safe harbor version of this test for plans that include health benefits. If your POP fails to satisfy this safe harbor test, it does not mean that your Plan is automatically disqualified for providing discriminatory benefits. Instead, the Plan must be tested under a more general nondiscrimination test. The application of this general test is beyond the scope of this worksheet. *In all events, we strongly recommend that you consult with your legal and/or tax advisor to assist you in completing this worksheet. The rules in this area are very complicated and are subject to change.*

GATHER THE FOLLOWING INFORMATION

1. The first step in running the safe harbor test is for you to collect the information that will be used in completing the remainder of this worksheet.
 - a) Compile a list of all plan participants and the amount of the contributions for each Plan participant.
 - b) Identify the highly compensated participants ("HCPs") and non-highly compensated participants in your Plan. As described earlier in these Procedures, HCPs generally include:
 - an officer
 - shareholder owning more than 5% of the value or voting power of employer stock
 - a Highly Compensated Employee (HCE)
 - a spouse or dependent of any of these individuals
 - c) Segregate the list into groups of similarly situated participants by type of coverage (e.g., single and family) and, if applicable, geographical location. These groups are referred to as your "similarly situated" groups of participants. The test described in this worksheet applies separately to each group.

APPLY THE SAFE HARBOR TEST BASED ON YOUR INFORMATION

Once you have gathered the necessary information, proceed with the following step-by-step approach:

2. For **each** group identified in item 1(c) above:

- a) What is the employer's cost of health coverage for the majority of HCPs in the group?

\$ _____

- b) Do the contributions for **each** participant in the group equal the amount stated in (a) above? (Note: This test only looks at the contributions actually made by the employer toward health benefit coverage. If an otherwise eligible individual waives coverage, that should not alone mean that the test is failed.)

___ Yes TEST PASSED. (Your POP PASSES the contribution and benefits safe harbor described in this worksheet.)

___ No (If the contribution for any participant exceeds the amount stated in item number 2(a) above, proceed with item number 4 below. If the contribution for any participant is less than the amount stated in item number 2(a) above, proceed with item number 2(c) below.)

(c) What is the cost of coverage for the participant who has the highest cost for coverage in this group (the most expensive premium for health benefit coverage available under the Plan for “similarly situated” participants identified above)?

(i) \$_____

(ii) multiply the amount in (i) by 75%: \$_____ and continue with item number 2(d).

(d) Do the contributions made for each participant in the group equal or exceed the amount listed in item number 2(c)(ii) above?

___ Yes (Please continue to item number 3 below.)

___ No TEST FAILED (Your POP FAILS the contribution and benefits safe harbor described in this worksheet. **This does not mean that your Plan does not qualify under the federal tax rules.** However, please see item number 5 below.)

3. Does the Plan provide benefits or employer contributions that exceed either the amount set forth in item number 2(a) or 2(c)(ii) (whichever is applicable)?

___ Yes (Please continue to item number 4 below.)

___ No TEST PASSED (The POP PASSES the contribution and benefits safe harbor described in this worksheet.)

4. Do the excess amounts described in item number 3 above bear a uniform relationship to compensation (e.g., all participants receive coverage equal to two percent (2%) of compensation)?

___ Yes TEST PASSED (The POP PASSES the contribution and benefits safe harbor described in this worksheet.)

___ No TEST FAILED (The POP FAILS the contribution and benefits safe harbor described in this worksheet. **This does not mean that your Plan does not qualify under the federal tax rules.** However, please see item number 5 below.)

This worksheet was designed to determine whether your POP satisfies a federal statutory safe harbor provision for the contributions and benefits to your Plan. **A Plan’s failure to satisfy the safe harbor does not mean that the Plan impermissibly discriminates in favor of highly compensated participants.** It just means that the Plan must apply a general nondiscrimination test to determine whether contributions and benefits under the Plan are made available and utilized in a nondiscriminatory manner. This general test is beyond the scope of this worksheet.

FOR ADP PAYROLL CLIENTS ONLY

CHAPTER 8 - CODING AND UPDATING PAYROLL

The quality of the services ADP delivers to your company's POP ultimately depends on you and the work you do to code your payroll completely and accurately. You must enter certain information into payroll for each employee. Incorrect coding will result in incorrect test results. This section summarizes what you need to know to correctly assign codes to fields in your payroll system.

DEFINITION OF DATES

- **Hire Date**
The day that an individual starts employment with the employer.
- **Birth Date**
The date on which an individual is born.
- **Termination Date**
The date on which an employee terminates employment.

COMPLIANCE CODES

Exclusion Codes

The following employees may be permanently excluded from your POP:

- a) Employees included in a bargaining unit who cannot participate in the plan.
- b) Non resident aliens earning no U.S. source of income.

In addition, any employee who has not met the minimum service requirement, as stated in your Plan Highlights, must also be coded as temporarily excluded from your plan. Once the service requirement is met, the employee's exclusion code must be changed to non-excluded. *(Please see the example under the section entitled "Eligibility Code" below.)*

**Codes = D - Excluded from POP permanently
X - Non-excluded from POP
G - Temporarily excluded from POP**

Family Member Code

Coding required to identify family members/non family members of highly compensated employees. Effective 1/1/97, all employees must be coded as N.

Code = N - Only valid entry

Key Employee Codes

A Key Employee is an employee who at any time during the current plan year (for employers that sponsor both POP and an ADP 401(k) plan, this may be the prior plan year (please see the important note regarding Code sharing in the section entitled "Payroll Coding" below)) is any of the following:

- **AN OFFICER WITH CERTAIN COMPENSATION**

An officer of the company who earned over a certain compensation limit for the plan year (\$170,000 in 2015), as adjusted for inflation.

- The term “officer” refers to an employee with officer responsibilities who functions on a continuous basis as an officer. This would include an employee with duties normally associated with those of an officer, irrespective of the job title.
- The maximum number of officers you need to classify as Key Employees is the greater of three or 10% of all employees in your controlled group or affiliated service group. If your company has 30 or fewer employees, no more than three officers should be classified as Key Employees due to their officer status. If your company has between 30 and 500 employees, no more than 10% of all employees can be classified as officers for Key Employee purposes.

- **A MORE THAN 5% OWNER**

An owner of more than 5% of the stock of a corporation or more than 5% of a corporation’s voting power, or an owner of more than 5% of the capital or profits interest in an employer that is not a corporation. *(Please refer to the section entitled “Stock Ownership / Attribution Rules” in this Procedures Document.)*

- **A MORE THAN 1% OWNER WITH COMPENSATION OF MORE THAN \$150,000**

An individual who is both:

- An owner of more than 1% of the stock of a corporation or more than 1% of a corporation’s voting power, or an owner of more than 1% of the capital or profits interest in an employer that is not a corporation *(Please refer to the section entitled “Stock Ownership / Attribution Rules”);*

AND

- Earns more than \$150,000 for the plan year.

An employee is deemed a Key Employee if they meet one or more of the above definitions.

- **NON-KEY EMPLOYEE**

The remaining employees in your company who do not meet any of the Key Employee categories above.

Key Codes = 2 - Key Employee 5 - Non-Key Employee
--

Example:

The XYZ Company establishes the company's POP on January 1, 2015, with a plan year that is the same as the calendar year. On December 31, 2015, the Plan Administrator reviews the master payroll report to verify that the employees have been properly coded as Key and Non-Key Employees. The following lists the employees of XYZ Company:

Name	Total Compensation	Owners/ Officers	Other	Comments
John Doe	\$200,500	50%	President	
Harry Smith	\$200,500	50%	Vice President	
Susan Bean	\$143,600			
James Brown	\$175,000		Controller	
Bruce Springer	\$40,000			
Elaine Wiser	\$35,000			
Mary Doe	\$25,000			Wife of John Doe
Melvin Smith	\$17,000			Son of Harry Smith
Gil Smith	\$16,000			Brother of Harry Smith
Carmela Sweet	\$7,000			Works only 4 months each yr.
Jim Trainee	\$15,000			Is age 17

To determine the **Key Employees** in the XYZ Company for the 2015 plan year:

- List the officers of the company who earned over \$170,000 (as adjusted for inflation) for the current plan year: John Doe, Harry Smith, James Brown
Remember that the total number of officers you must count as Key Employees is the greater of three or 10% of all employees in your controlled group or affiliated service group. Since three (3) is greater than 10% of the 11 employees listed for XYZ Company, all three officers at XYZ are included in this category.
- List the more than 5% owners:
John Doe, Harry Smith, Mary Doe, Melvin Smith
The Stock Ownership Rules* (*refer to Stock Ownership/ Attribution Rules in this section*) consider Mary as an owner of John's stock and Melvin as an owner of Harry's stock. Note that Harry's brother, Gil, is not a family member subject to the Stock Ownership Rules.
- List the more than 1% owners who have earned over \$150,000 for the plan year.
John Doe, Harry Smith

The Key Employees of the XYZ Company for the 2015 plan year are:

	Key Code
John Doe	2
Harry Smith	2
James Brown	2
Mary Doe	2
Melvin Smith	2

The remaining employees do not meet the Key Employee criteria and should be coded as Non-Key Employees, payroll code "5".

Highly Compensated Employee Code

A Highly Compensated Employee (HCE) is an employee who meets any of the following criteria:

- **MORE THAN 5% OWNER:** An employee who at any time during the current plan year or the look-back year (the 12-month period preceding the plan year being tested), is / was an owner of more than 5% of a corporation's voting power, or an owner of more than 5% of the capital or profits interest in an employer that is not a corporation (Stock Ownership/Attribution Rules apply).
- **AN HCE BASED ON SALARY IN THE LOOK BACK YEAR AND, IF THE COMPANY ELECTS, THE TOP 20% HIGHEST-PAID GROUP:*** An employee who earned more than a certain compensation limit in the look-back year (the 12-month period preceding the plan year being tested)** – \$115,000 in 2013 or 2014, as adjusted for inflation – and, if the company so elects for all retirement and nonretirement plans in its controlled group (if any), is in the top 20% highest paid group for that year.

Example (assuming a calendar plan year):

In 2014, Employee makes \$170,000 and is in the top 20% paid group (if elected) - HCE for the 2015 plan year.

In 2014, Employee makes \$105,000 - NHCE for the 2015 plan year.

***NOTE:** The top 20% highest paid group limitation is optional under the Internal Revenue Code. The IRS requires that if any employer-sponsored plan (regardless of whether the plan is a retirement plan or not) within a controlled group limits HCEs to the top 20% highest paid group, every plan sponsored by any member of that controlled group must use this limitation. Before deciding whether or not to use the top 20% highest paid limitation, you should determine whether or not the limitation is used in the other retirement and nonretirement plans in your controlled group (if any). If you have an ADP 401(k) plan, you must use this limitation.

****NOTE:** If your Plan uses a non-calendar plan year, the compensation limit that applies to a look-back year is the compensation limit for the calendar year in which the look-back year begins. If your Plan uses a non-calendar plan year, you may also have the option of making a "calendar year election" to determine HCE status on the basis of compensation, as long as you adhere to a consistency rule for all of your plans (retirement and otherwise). (If you have an ADP 401(k) plan, you may not use a calendar year election.) The calendar year election is complex and you should consult your legal and/or tax advisor if you are interested in this election.

If your company elects to use the top 20% highest paid group limitation to determine HCEs on the basis of salary, the following explains how to apply the limitation:

How to determine the number of employees in the Top 20% Highest Paid Group

- 1) Count the number of employees on the payroll during the look-back year. Include all active and terminated employees and employees not offered the plan (all employees in the controlled group / affiliated service group) including leased employees, if any.
- 2) Count the number of employees who:
 - a). Have not completed 6 months of service in the prior year.
 - b). Work less than 17-1/2 hours a week for 50% or more of the total weeks worked during the year.
 - c). Normally work not more than 6 months per year.
 - d). Have not attained age 21 by the last day of the prior year.
 - e). Are union employees, if 90% or more of the workforce is union and your plan covers only non-union employees.
 - f). Are non-resident aliens who receive no U.S. source of income.

Add (a) through (f) and get a total.

- 3) Subtract the total number of employees in step 2 from the total number of employees in step 1.
- 4) Multiply the number in step 3 by 20%. This gives you the number of employees to be included in the Top 20% Highest Paid Group.

How to determine which employees are in the Top 20% Highest Paid Group

- 1) Construct a list of your company's employees (from step 1 above, whether or not they were excluded) and rank them by look-back year compensation from highest to lowest. When determining each employees' compensation, include actual (not annualized) total earned income, which includes wages, salaries and fees, commissions, tips, bonuses, and 401(k) deferrals.
- 2) Use the number derived in Step 4 above and count down that number of employees from the top of the list. These employees are in the Top 20% Highest Paid Group.
- 3). Those employees you have identified as being in the Top 20% Highest Paid Group who earned more than the HCE compensation limit in the look-back year (\$115,000 in 2013 or 2014) are your Plan's HCEs. If the company has more employees who have earned over the compensation limit than the number that represents the Top 20% Highest Paid Group, only the Top 20% Highest Paid Group should be considered HCEs.

IMPORTANT: *If an employee meets the criteria for both definitions of HCE (i.e., is an HCE based both on ownership of the employer and on salary), the employee should be coded with the first definition since this is the first code for which the employee qualifies.*

Nonhighly Compensated Employees (Non-HCEs)

The remaining employees in your company who do not meet any of the categories above should be coded as non-HCEs.

HCE Codes = 1 - HCE 5% Owner 2 - HCE Based on Salary (and Top 20 % group if applicable) 0 - Non-HCEs
--

Stock Ownership / Attribution Rules:

Special rules under the Internal Revenue Code state that an individual is treated as owning the stock owned by his or her spouse, children, grandchildren and parents. These rules are important in determining whether an individual is a Key Employee and/or HCE and can be illustrated in the following examples:

Example 1:

John Doe and Harry Smith are both employees of the XYZ Company and each owns 50% of the company. Among the employees of the company is John Doe's wife, Mary, who earned \$25,000 and Harry Smith's son, Melvin, who earned \$17,000.

Under the stock ownership rules, Mary Doe is considered to own the stock that her husband John owns and Melvin is considered to own the stock that his father Harry owns.

All four employees are considered to own more than 5% of the stock of XYZ company.

Example 2:

Susan Jones, an employee of the OK company, is a 2% owner of the company. Her husband, Joe, is also an employee and owns 3% of the company. The IRS rules consider each to own 5% of the OK Company.

Similarly, a partner is treated as owning a proportionate amount of any interest owned by his / her partnership, and a corporation is deemed to own a proportionate share of any stock owned by a 50% or more shareholder. In general, once an individual has an interest attributed to him or her, the individual is treated as actually owning it. However, once an individual is treated as owning an interest under the stock attribution rules, the individual is not treated as owning the interest for purposes of determining what another individual owns under the stock attribution rules. *The Stock Ownership / Attribution rules are important in determining whether an individual is a Key Employee and / or an HCE and can be highly complex. If you are uncertain as to the application of these attribution rules, you should consult your legal and / or tax advisor for guidance.*

Eligibility Code

Employees who meet the eligibility requirements, as stated in your POP Plan Highlights, may participate in the plan.

Eligibility Code = P - Eligible for POP
X - Not Eligible

Owner Participation

In accordance with the Internal Revenue Code, your POP states that only “employees” may participate. The Term “employees” does not include self-employed individuals or 2% shareholders of an S Corporation.* The IRS rules governing owner participation in your POP are as follows:

Type of Business	Participation Rules
C Corporation	Owners, who are employees, who meet the eligibility requirements of the Plan may participate.
S Corporation	Any employee who owns more than 2 % of the stock or possesses more than 2% of the total combined voting power of all the stock cannot participate.
Partnership/LLC/LLP	Partners owning an interest in the partnership cannot participate. An employee who is the spouse, child or parent of a partner can participate if they meet the eligibility requirements of the Plan.
Sole Proprietor	A sole proprietor cannot participate. An employee who is the spouse, child or parent of a sole proprietor can participate if they meet the eligibility requirements of the Plan.

*Remember that, for purposes of determining ownership, the stock ownership rules provide that an individual is considered as owning the stock owned, directly or indirectly, by or for his or her spouse (other than a spouse who is legally separated from the individual under decree of divorce or separate maintenance) and his or her children, grandchildren, and parents.

PAYROLL CODING

IMPORTANT NOTE: *If you have both an ADP 401(k) plan and ADP POP, your clock codes for Highly Compensated Employees (HCEs) and Key Employees should be entered in accordance with the procedures set forth in your 401(k) Administration Manual. If your ADP 401(k) plan and your ADP POP do not have the same plan year, you may not necessarily rely upon the clock codes that you enter in connection with your 401(k) plan for purposes of your POP. As explained above, many of the criteria for Key Employee and HCE status are based upon ownership and/or compensation for the current plan year and/or look-back year. If your 401(k) and POP plan years are not the same, you should carefully review the Key Employees and HCEs that you have coded as such for 401(k) purposes to confirm that this group accurately reflects the Key Employees and HCEs to be included in the testing that ADP performs for your POP when determined based upon your POP's plan year. While it is reasonable to expect that the Key Employees and HCEs for purposes of your ADP 401(k) Plan will be the same as your Key Employees and HCEs for purposes of your ADP POP, this may not be so in every case. If so, you may not be able to rely upon the testing conducted by ADP for your POP and should consult your legal and/or tax advisor regarding the necessity of running your own Key Employee Concentration and/or Nondiscriminatory Classification – Eligibility test(s). Even where the plan years are the same, clock code sharing (where applicable) between ADP 401(k) and POP may in some instances cause interim Key Employee Concentration Testing to be performed based on the prior plan year's Key Employee coding if you do not keep your ADP 401(k) coding current. IRS regulations do not, however, address whether current or prior year Key Employees should be tested in conducting this test.*

RUN Payroll Product

DATA	FORMAT
Key	Check either Key or non Key
HCE	Check Non HCE HCE 5% owner or HCE
Eligibility	Check Yes or No

RUN Compliance Coding

Here is where you enter in the compliance codes for employees. All employees need to be coded.

Select KEY employee – KEY or NON Key

Select HCE (highly compensated employee) – 2014 HCE limit is \$115,000 – compensation is total yearly compensation based on look back year)

Options: Non HCE, HCE 5% Owner or HCE

Select Eligibility Yes or No

Hit Save.

Please be sure to code all employees

The screenshot displays the 'Employee Info' section of the RUN Payroll Product interface. The left sidebar shows navigation options: Personal Information, Employee Info, Employment Info (selected), Payroll, Payroll Info, Earnings Deductions, and Check View. The main content area is titled 'Employment Info' and contains the following fields:

- Hire date:** 12/19/2011
- Length of service:** 2 years, 2 months
- Social security no.*:** [Redacted]
- Job tax credit:** No
- Employee status*:** Active
- Company paid pension*:** No
- Birth date:** [Redacted]
- Statutory employee*:** No
- Gender*:** [Redacted]
- Termination date:** mm/dd/yyyy
- Last day worked:** mm/dd/yyyy
- Termination reason:** [Redacted]

Below the 'Employment Info' section is the 'Retirement Services Compliance Information' section, which includes:

- Key employee indicator:** [Redacted]
- POP eligibility:** No
- Highly compensated employee:** [Redacted]

Callouts (yellow speech bubbles) provide additional information:

- A callout for 'Employment Info' points to the section title.
- A callout for 'Is employee Key employee?' points to the 'Key employee indicator' field, with options: Key, Non-key.
- A callout for 'Is employee eligible for POP?' points to the 'POP eligibility' field, with options: Yes, No.
- A callout for 'Is employee HCE (highly compensated employee)?' points to the 'Highly compensated employee' field, with options: Non HCE, HCE 5% Owner, HCE.

At the bottom right, there are 'Save' and 'Cancel' buttons.

Then under **BENEFITS** choose **POP COMPLIANCE**

POP Employee Audit Listing							
Employee Information		Compliance			Contribution		Errors
	Type	Code	Description	Deduction	Amount		
Dep: Brenda Y Emp ID: 000000000 Date: 2018 Status: Ret: 12/15/2011	HCE Key Employee Eligibility	N				Compliance data missing	
Dep: Katherine N Emp ID: 000000000 Date: 88/3 Status: Ret: 06/26/2013	HCE Key Employee Eligibility	N				Compliance data missing	
Dep: Jennifer K Emp ID: 000000000 Date: 2018 Status: Ret: 06/26/2013	HCE Key Employee Eligibility	N				Compliance data missing	

If you look under the ERRORS column, this will tell you if employee has coding or not.

POP Employee Audit Listing				
Compliance			Contribution	
Type	Code	Description	Deduction	Amount
HCE Key Employee Eligibility	N			Compliance data missing
HCE Key Employee Eligibility	N			Compliance data missing
HCE Key Employee Eligibility	N			Compliance data missing
HCE Key Employee Eligibility	N			Compliance data missing
HCE Key Employee Eligibility	N			Compliance data missing

This is telling you that employees are not coded for POP

AUTOPAY**PAYROLL INPUT METHOD for PC - PHONE - WORKSHEET****Using Clock Field for storing Compliance Codes**

(Depending on your individual set up, your employees may be coded in the "Title Description" or the "PRS Status Flag" field instead of the "Clock Number" field.

Please contact your POP Client Service Team if you need assistance.)

DATA	FIELD STORED IN	PC/PW SCREEN	PHONE AND WORKSHEET	FORMAT
Hire Date	Date 1	Status	Special Entries - Section "B",	MMDDYY
Birth Date	Date 2	Personal	Special Entries - Section "B",	MMDDYY
Termination Date	Date 3	Status	Special Entries - Section "B",	MMDDYY
Exclusions	Clock Number Position 1	Other – Tab Miscellaneous-Sidetab	Special Entries - Section "B", Type 331	D = Excluded Permanently (Union and Non-resident aliens) X = Non-excluded G = Temporarily Excluded (hasn't
Family Member	Clock Number Position 2	Other - Tab Miscellaneous-Sidetab	Special Entries - Section "B",	N = Only valid code, effective as of 1/1/97
Key Code	Clock Number Position 3	Other – Tab Miscellaneous-Sidetab	Special Entries - Section "B",	2 = Key Employee 5 = Non-Key Employee
HCE Code	Clock Number Position 4	Other – Tab Miscellaneous-Sidetab	Special Entries - Section "B", Type 334	1 = HCE 5% Owner 2 = HCE Based on comp. (And Top 20% if applicable)
Eligibility Code	Clock Number Position 5	Other – Tab Miscellaneous-Sidetab	Special Entries - Section "B",	P = Eligible for POP X = Non-eligible

Payroll Input Method For Work Force Now Service

DATA	FIELD STORED IN	WORK FORCE NOW SCREEN	FORMAT
Hire Date	Date 1	Status or Autopay Dates	MMDDYY
Birth Date	Date 2	Status or Autopay Dates	MMDDYY
Termination Date	Date 3	Status or Autopay Dates	MMDDYY
Exclusions	Clock Number Position 1	People>Profile>Pay> Additional Fields>Clock Fields	D = Excluded permanently (Union and Non-resident aliens) X = Non-excluded G = Temporarily Excluded (hasn't met service requirement)
Family Member	Clock Number Position 2	People>Profile>Pay> Additional Fields>Clock Fields	N = Only valid code, effective as
Key Code	Clock Number Position 3	People>Profile>Pay> Additional Fields>Clock Fields	2 = Key Employee 5 = Non-Key
HCE Code	Clock Number Position 4	People>Profile>Pay> Additional Fields>Clock Fields	1 = HCE 5% Owner 2 = HCE Based on comp. (and
Eligibility Code	Clock Number Position 5	People>Profile>Pay> Additional Fields>Clock Fields	P = Eligible for POP X = Non-eligible

Payroll Input Method For Pay eXpert, Internet Payroll Service

DATA	FIELD STORED IN	Pay eXpert SCREEN	FORMAT
Hire Date	Date 1	Status or Autopay Dates	MMDDYY
Birth Date	Date 2	Status or Autopay Dates	MMDDYY
Termination Date	Date 3	Status or Autopay Dates	MMDDYY
Exclusions	Clock Number Position 1	Miscellaneous Information	D = Excluded permanently (Union and Non-resident aliens) X = Non-excluded G = Temporarily Excluded (hasn't met service requirement)
Family Member	Clock Number Position 2	Miscellaneous Information	N = Only valid code, effective as of 1/1/97
Key Code	Clock Number Position 3	Miscellaneous Information	2 = Key Employee 5 = Non-Key
HCE Code	Clock Number Position 4	Miscellaneous Information	1 = HCE 5% Owner 2 = HCE Based on comp. (and Top 20% if applicable) 0
Eligibility Code	Clock Number Position 5	Miscellaneous Information	P = Eligible for POP X = Non-eligible

AUTOPAY with 401(k) Product**PAYROLL INPUT METHOD for PC - PHONE - WORKSHEET
Using Clock Field for storing Compliance Codes**

DATA	FIELD STORED IN	PC/PW SCREEN	PHONE AND WORKSHEET	FORMAT
Hire Date	Date 1	Status	Special Entries – Section “B”,	MMDDYY
Birth Date	Date 2	Personal	Special Entries – Section “B”,	MMDDYY
Termination Date	Date 3	Status	Special Entries – Section “B”,	MMDDYY
Exclusions	Clock Number Position 1	Other – Tab Miscellaneous- Sidetab	Special Entries – Section “B”, Type 331	D = POP Excluded Only C = 401k Excluded Only (Class only) A= Excluded from both (Union and Non-resident alien) U= 401k
Family Member	Clock Number Position 2	Other - Tab Miscellaneous- Sidetab	Special Entries – Section “B”,	N = Only valid code, effective as
Key Code	Clock Number Position 3	Other – Tab Miscellaneous- Sidetab	Special Entries – Section “B”,	2 = Key Employee 5 = Non-
HCE Code	Clock Number Position 4	Other – Tab Miscellaneous- Sidetab	Special Entries – Section “B”, Type 334	1 = HCE 5% Owner 2 = HCE Based on comp. (and
Eligibility Code	Clock Number Position 5	Other – Tab Miscellaneous- Sidetab	Special Entries – Section “B”, Type 335	P = Eligible for POP K = Eligible for 401k B = Eligible for both X = Non-eligible

AUTOPAY with 401(k) Product**PAYROLL INPUT METHOD FOR Pay eXpert, Internet Payroll Service**

DATA	FIELD STORED IN	Pay eXpert SCREEN	FORMAT
Hire Date	Date 1	Status or Autopay Dates	MMDDYY
Birth Date	Date 2	Status or Autopay Dates	MMDDYY
Termination Date	Date 3	Status or Autopay Dates	MMDDYY
Exclusions	Clock Number Position 1	Miscellaneous Information	D = POP Excluded Only C = 401k Excluded Only (Class only) A= Excluded from both (Union and Non-resident alien) U= 401k Excluded Only (Union level) G= POP Temporarily Excluded (hasn't met service requirement)
Family Member	Clock Number Position 2	Miscellaneous Information	N = Only valid code, effective as of 1/1/97
Key Code	Clock Number Position 3	Miscellaneous Information	2 = Key Employee 5 = Non-Key
HCE Code	Clock Number Position 4	Miscellaneous Information	1 = HCE 5% Owner 2 = HCE Based on comp. (and Top 20% if applicable) 0 = Non-
Eligibility Code	Clock Number Position 5	Miscellaneous Information	P = Eligible for POP K = Eligible for 401k B = Eligible for both X

DEDUCTIONS

In order to activate your POP with your effective date, you must cancel your post tax benefit deductions and set-up pre-tax deductions on POP coverages for all **enrolled** employees.

Worksheet and Teledata Clients

Enter the following information in Section A of the Worksheet:

To Cancel a Deduction:

- Enter ID 17
- Enter your Deduction Code
- Enter all zeros
 - Example: Deduction Code for Dental = D
 - 0000 = Cancels the \$ amount for the deduction
 - 17D 0000 (right justified)

To Set up a Deduction:

- Enter ID 17
- Enter your Deduction Code
- Enter Dollar Amount (7 position field)
 - Example: Deduction Code for Dental = D
 - Deduction amount = \$20.00
 - 17D 2000 (right justified)

PC Clients

Go to Deduction Screen

To Cancel a Deduction:

- Go to the line containing the deduction and press F7 (delete).

To Set up a Deduction:

- Enter your deduction code, followed by the dollar amount of the deduction (if cents, decimal is required).

Pay eXpert, Internet Payroll Service Clients

Go to the Employee Information Screen, select Deductions and All Deductions, click go. Select employee.

To Cancel a Deduction:

- Go to the line containing the deduction and press delete.

To Set up a Deduction:

- Click New
- Choose the appropriate deduction code from the drop down menu.
- Enter the deduction amount.
- Click Save.

ADP RESOURCES PAYROLL PRODUCT

Below you will find the 5-digit compliance codes that need to be input to the clock field in your payroll system. These codes will be used by ADP to generate the compliance tests associated with this benefit.

The codes are as follows:

CODE	DESCRIPTION
XN50P	Eligible Employee POP Only
XN50X	Part Timers/Seasonal Employee Not Eligible for Either Benefit
GN50X	New Hire Not Eligible
XN22P	Key Officer/HCE Over 110K POP Eligible Only
XN52P	HCE Over 110K Eligible POP Only
XN21X	Owner Not Eligible
XN21P	Owner POP Eligible Only

To update these codes to the payroll system please follow the steps below.

Step 1: Updating employee compliance coding – all employees Active, Leave of Absence, Terminated and Deceased must be coded.

1. Choose the “HR” tab from the ADP Resource home page
2. to update **CLOCK** field
 - A. On the left menu under “**Employee Management**”, under “**Employee Update**”, select “**Employment Profile**”.
 - B. At the top right use drop down menu to select employee.
 - C. Right side - clock field – tab into each field enter a valid value.

A drop down menu will be created as new clock coding is input. This will allow the user to select the appropriate coding for other employees.

The screenshot displays the ADP Resource home page with the 'HR' tab selected. The 'Employee Management' section is active, and the 'Employee Update' sub-section is chosen. The 'Employment Profile' tab is selected, showing the following fields and values:

- Name:** Again, Test (434728) (ZZ2)
- Current Filter:** All Active Employees
- Employee:** Again, Test (434728) (ZZ2)
- Select By:** Name (selected), File #, Empl ID
- Paygroup:** ZZ2
- Position:** ZZ2 - ASO NOS EF Test Paygroup 1
- Status:** Active
- Effective Date:** 08/12/2008
- Payroll Start Date:** 09/27/2008
- Payroll End Date:** 10/03/2008
- Job Profile:**
 - Title:** Lead Designer
 - Department:** 000010 : Clerk
 - EEO Class:** Not Reported
 - Job Cost:** Unassigned
 - WC Job Class Code:** DFLT : Default
 - Clock Nbr:** XN50X (selected)
 - WC Status:** None
 - WC Type:** None
 - Data Control:** Becky Test
- HR Profile:** (empty)

A dropdown menu for the 'Clock Nbr' field is open, showing the following options: 1650C, 6N50X, FDE, and XN50X.

ADP RESOURCES WITH 401(K) PRODUCT

Below you will find the 5-digit compliance codes that need to be input to the clock field in your payroll system. These codes will be used by ADP to generate the compliance tests associated with this benefit.

As an ADP401K/Premium Only Plan client the compliance code is a shared code that will be input to the clock field on the payroll system. Below you will find the scenarios of the code along with the payroll navigations to access the clock field.

The codes are as follows:

CODE	DESCRIPTION
XN50P	Eligible Employee POP Only
XN50K	Eligible Employee 401K Only
XN50B	Eligible Employee POP/401K (Both Benefits)
XN50X	New Hire Temporarily Not Eligible
XN22P	Key Officer/HCE Over 110K POP Eligible Only
XN22K	Key Officer/HCE Over 110K 401K Eligible Only
XN22B	Key Officer/HCE Over 110K POP/401K Eligible (Both Benefits)
XN52P	HCE Over 110K Eligible POP Only
XN52K	HCE Over 110K Eligible 401K Only
XN52B	HCE Over 110K Eligible POP/401K (Both Benefits)
XN21X	More Than 5% Owner Not Eligible
XN21P	More Than 5% Owner POP Eligible Only
XN21K	More Than 5% Owner 401K Eligible Only
XN21B	More Than 5% Owner POP/401K Eligible (Both Benefits)

To update these codes to the payroll system please follow the steps below.

Step 1: Updating employee compliance coding – all employees Active, Leave of Absence, Terminated and Deceased must be coded.

1. Choose the “HR” tab from the ADP Resource home page
2. To update **CLOCK** field
 - A. On the left menu under “**Employee Management**”, under “**Employee Update**”, select “Employment Profile”.
 - B. At the top right use drop down menu to select employee.
 - C. Right side - clock field – tab into each field enter a valid value.

A drop down menu will be created as new clock coding is input. This will allow the user to select the appropriate coding for other employees.

The screenshot displays the ADP HR system interface. The top navigation bar includes tabs for Home, HR, My Company, Benefits, Payroll, FormSource, Reporting, Global Setup, and Help. The left sidebar shows a menu with 'Employee Management' expanded, containing 'Employee Tasks' and 'Employee Update'. Under 'Employee Update', 'Employment Profile' is selected. The main content area shows details for employee 'Again, Test' (File Number 434728, Paygroup ZZ2 - ASO NOS EF Test). The 'Job Profile' section is active, showing fields for Title (Lead Designer), EEO Class (Not Reported), WC Job Class Code (DFLT: Default), WC Status (None), WC Type (None), and Data Control (Becky Test). The 'Clock Nbr' field is highlighted, showing a dropdown menu with options: XN50X, 1650C, 6N50X, FDE, and XN50X. The 'Pay Rates' tab is also visible, showing Effective Date (08/12/2008), Payroll Start Date (09/27/2008), and Payroll End Date (10/03/2008).

DESCRIPTIONS FOR VALIDATION TABLES: STATUS FLAGS 1 - 5
(all autopay payroll products)

- TYPE IN DIFFERENT CODES AND DESCRIPTIONS AS FOLLOWS
- Status Flag 1 – Options are **X** and **G** (X=Non-excluded, G=Temp excluded)
- Status Flag 2 – Options are **N** (Default filler)
- Status Flag 3 – Options are **5** and **2** (5=Non key, 2=Key employee)
- Status Flag 4 – Options are **0**, **1** or **2** (0=Non-HCE, 1=HCE 5% owner, 2=HCE)
- Status Flag 5 – Options are **P**, **X** or **K**
(P=POP eligible, X=POP Not eligible, K=Both-401k & POP eligible)

EXAMPLE:

CODE	DESCRIPTION
XN50P	ELIGIBLE EMPLOYEE FOR POP
GN50X	TEMPORARILY NOT ELIGIBLE – New Hire
XN21X	PARTNERS/OWNER is NOT ELIGIBLE (S corp./LLC/PLLC)
XN21P	ELIGIBLE PARTNER/OWNER (C corp. only)
XN50X	PART TIMERS - NOT ELIGIBLE
XN52P	HCE OVER 115K (2014) ELIGIBLE
XN22P	KEY/HCE ELIGIBLE



PREMIUM ONLY PLAN

PLAN DOCUMENT

SECTION 1

PRELIMINARY MATTERS

- 1.1 Form.** The Premium Only Plan ("POP") is set forth in this document, the accompanying Plan Highlights which is incorporated herein by reference and made a part hereof, and any amendments to these documents.
- 1.2 Plan Purpose.** This Plan is designed and intended to qualify as a cafeteria plan under Code Section 125, and is to be interpreted in a manner consistent with Code Section 125. The sole purpose of this Plan is to provide Participants with the opportunity to elect to receive taxable compensation or to pay their share of premiums for various Eligible Benefits on a pre-tax basis.

SECTION 2

DEFINITIONS

- 2.1 "Accidental Death and Dismemberment Insurance"** means any policy or program of accidental death and dismemberment insurance coverage offered or maintained by the Sponsor or a Participating Affiliate.
- 2.2 "Affiliate"** means any corporation, partnership or other entity with which the Sponsor constitutes a controlled group of corporations, a group of trades or businesses (whether or not incorporated) under common control or an affiliated service group as defined under Code Sections 414 (b), (c), (m), (n) or (o).
- 2.3 "Child"** means any child of a Participant described in Code Section 152(f)(1) who has not attained age 27 as of the end of the Participant's taxable year.
- 2.4 "Code"** means the Internal Revenue Code of 1986, as may be amended from time to time. Reference to a specific provision of the Code shall include such provision and any valid regulation promulgated thereunder, or corresponding provision of any successor revenue law thereto.
- 2.5 "Dental Insurance"** means any policy or program of dental insurance coverage offered or maintained by the Sponsor or a Participating Affiliate.
- 2.6 "Dependent"** means (1) any person who is a dependent of a Participant within the meaning of Code Section 152, determined without regard to subsections (b)(1), (b)(2) and (d)(1)(B) thereof and (2) a Participant's Child.
- 2.7 "Disability Insurance"** means any policy or program of long-term disability insurance coverage offered or maintained by the Sponsor or a Participating Affiliate.
- 2.8 "Effective Date"** means the day the Plan begins as stated in the Plan Highlights. Notwithstanding the foregoing, the Plan may not be effective prior to the date the Plan is adopted. The effective date of an amendment and restatement of an existing Plan shall be the date stated in the Plan Highlights but shall be no earlier than the date the amended and restated Plan is adopted.
- 2.9 "Eligible Benefits" or "Benefits"** means the benefits permitted under Code Section 125(f) and the regulations thereunder, including (but not necessarily limited to) Health Insurance, Dental Insurance, Vision Insurance, Accidental Death and Dismemberment Insurance, Disability Insurance and Life Insurance as listed in the Plan Highlights and which are more fully described in separate written documents. Notwithstanding the preceding sentence, Eligible Benefits for purposes of the Plan shall be limited to those benefits supported under the Service Provider's POP program.

- 2.10** **“Employee”** means a person who performs services for the Sponsor or Participating Affiliate and receives compensation for his services other than a pension, retirement allowance, retainer or fee under contract. Such persons may include persons who are common law employees, leased employees described in Code section 414(n) or full-time life insurance salesmen defined in Code section 7701(a)(20). Person who act only as directors or independent contractors are not Employees, although persons who serve in a dual status (i.e., persons performing services both as an employee and as a director or independent contractor) are Employees to the extent they serve in an employee capacity. Persons who are sole proprietors, partners owning an interest in a partnership, 2% shareholders (as defined in Code Section 1372(b)) of an S corporation or owners of a pass-through entity (such as a limited liability company) are not Employees. If an individual is not considered to be an employee of the Sponsor or Participating Affiliate in accordance with the preceding sentences for a Plan Year, a subsequent determination by the Sponsor, Participating Affiliate, any governmental agency or court that the individual is an employee of the Sponsor or Participating Affiliate, even if such determination is applicable to a prior Plan Year, will not have a retroactive effect for purposes of eligibility to participate in the Plan.
- 2.11** **“ERISA”** means the Employee Retirement Income Security Act of 1974, as amended, and corresponding provisions of future laws. Reference to a specific provision of ERISA shall include such provision and any valid regulation promulgated thereunder.
- 2.12** **“Health Insurance”** means any policy or program of group health insurance coverage offered or maintained by the Sponsor or a Participating Affiliate that is a qualified benefit within the meaning of Code Section 125(f).
- 2.13** **“Highly Compensated Individual or Participant”** means any individual or Participant who is a Highly Compensated Individual or a Highly Compensated Participant as defined under Code Section 125.
- 2.14** **“Key Employee”** means any Employee who is a key employee of the Sponsor or a Participating Affiliate within the meaning of Code Section 416(i)(1) at any time during the preceding Plan Year.
- 2.15** **“Life Insurance”** means any policy or program of group term life insurance coverage offered or maintained by the Sponsor or a Participating Affiliate.
- 2.16** **“Participant”** means any Employee who meets the requirements for participation specified in Article 3.
- 2.17** **“Participating Affiliate”** means an Affiliate that adopts the Plan in accordance with Section 8.3.
- 2.18** **“Plan”** means the Premium Only Plan (“POP”) set forth in this document and the accompanying Plan Highlights, as amended from time to time.
- 2.19** **“Plan Administrator”** means the Sponsor of the Plan, unless otherwise designated by the Sponsor in the Plan Highlights.
- 2.20** **“Plan Highlights”** means the accompanying document, which is incorporated into the Plan by reference and made a part hereof, which sets forth specific features of the Plan as specified by the Sponsor.
- 2.21** **“Plan Year”** means a twelve (12) consecutive month period that commences and ends on a date selected by the Sponsor and set forth in the Plan Highlights. The Plan Year is also the period of coverage for each Eligible Benefit specified in the Plan Highlights for purposes of the requirements of Code Section 125. A Sponsor may specify a short Plan Year of less than twelve (12) consecutive months in the Plan Highlights, or change a Plan Year to a different twelve (12) consecutive month period than the initial Plan Year specified in the Plan Highlights, but only if the specification of a short Plan Year or a change to a Plan Year is made for a valid business purpose and is otherwise permitted under Code Section 125.
- 2.22** **“Salary Conversion Amount”** means the portion of a Participant's compensation reserved for the payment of Eligible Benefits under the Plan for a Plan Year.

- 2.23 “Service Provider”** means ADP, LLC, or any subsidiary or division thereof which has contracted with the Sponsor to provide plan documentation and related services in connection with the Plan, and any successor in interest thereto.
- 2.24 “Sponsor”** means the employer identified in the Plan Highlights. “Sponsor” also means any successor entity assuming the obligations created in this Plan. Solely for purposes of nondiscrimination testing under Code Section 125, the Sponsor shall include all entities that are treated as an Affiliate.
- 2.25 “Vision Insurance”** means any policy or program of vision insurance coverage offered or maintained by the Sponsor or a Participating Affiliate.

SECTION 3

PARTICIPATION

- 3.1 Eligibility Requirements.** An Employee shall be eligible to participate in the Plan if he meets the eligibility requirements specified in the Plan Highlights. If this Plan is an amendment and restatement of an existing plan, any Employee who was a participant in the existing plan shall continue to be eligible to participate in the Plan. Persons who are not Employees are not eligible to participate in the Plan.
- 3.2 Participation Date and Initial Election.** An eligible Employee shall become a Participant in the Plan effective as of the later of the date on which he satisfies the requirements of Section 3.1 or the Effective Date of the Plan. Each eligible Employee shall be required to sign and complete an election form in accordance with the provisions of Section 5.1 prior to commencing participation in the Plan. Participation shall commence on the participation commencement date specified in the Plan Highlights, which date shall not be retroactive to any date prior to the date the eligible Employee becomes a Participant; provided, however, that the participation commencement date may be retroactive to the date of hire for a newly-hired eligible Employee (other than an Employee who is rehired within 30 days after terminating employment or an Employee who returns to employment after an unpaid leave of absence of less than 30 days) if such Employee signs and completes the election form required by Section 5.1 within 30 days after his date of hire.
- 3.3 Duration of Participation.** Except as otherwise provided in Sections 4.4, 5.2, and 7.2 of this Plan, an eligible Employee shall continue as a Participant so long as he remains in the employment of the Sponsor or Participating Affiliate and continues to meet the eligibility requirements of Section 3.1.
- 3.4 Reinstatement of Participant.** A former Participant will again become a Participant if and when he meets the eligibility requirements of Section 3.1 and, if terminated and rehired within the same Plan Year, may make a new election hereunder for the remainder of the Plan Year in accordance with Section 5 of this Plan. Notwithstanding the previous sentence, if a former Participant is rehired within a period of time specified by the Plan Administrator in its administrative rules and procedures and within the same Plan Year as the initial termination of employment, the former Participant, upon satisfaction of the eligibility criteria of Section 3.1, may not make a new enrollment election hereunder for the remainder of the Plan Year and the Sponsor or Participating Affiliate, as applicable, shall reinstate such Participant’s coverage elections that were in effect immediately prior to termination of employment.

SECTION 4

CONTRIBUTIONS AND BENEFITS

- 4.1 Salary Conversion Election.** Each Participant may elect to receive full payment of compensation in cash or to apply a portion of compensation toward the payment of premiums for Eligible Benefits for the Participant or the Participant’s spouse or Dependent. A Participant’s salary conversion election shall be effective only for compensation that is not currently available to the Participant. Upon receipt of a Participant’s salary reduction election, the Sponsor or Participating Affiliate, as applicable, shall reduce the Participant’s future compensation for the Plan Year by an amount determined based upon the Participant’s election of Eligible Benefits. Except as provided in Section 5, any election for Eligible Benefits shall be effective for the Plan Year to which such election relates.

- 4.2 Maximum Salary Conversion Amount.** The total amount of compensation eligible for conversion in any one Plan Year shall not exceed the total cost of Benefits available under the Plan with respect to that Participant. Employees who become eligible to participate in the Plan on a date other than the first day of the Plan Year shall be eligible to convert an amount of compensation equal to the maximum Salary Conversion Amount times a fraction, the numerator of which will be the number of full months remaining in the Plan Year and the denominator of which will be twelve. The maximum Salary Conversion Amount available to Participants receiving insurance benefits through the Plan shall be increased by the amount of any increase in the cost of such insurance benefits occurring during the Plan Year.
- 4.3 Forfeitability of Contributions.** Any salary conversion amounts made by a Participant for Eligible Benefits shall not be returned to the Participant, provided, however, that notwithstanding the foregoing, such payments may be returned to the extent they result from a processing error by the Sponsor, a Participating Affiliate, the Service Provider or a third-party carrier.
- 4.4 Termination of Contributions.** If a Participant fails to make any contributions required to pay for a Benefit he has elected, the Plan Administrator shall terminate provision of the Benefit to the Participant unless other arrangements have been made with the Participant. The Participant may renew election of the terminated Benefit at the beginning of the Plan Year following termination of the Benefit, provided that he satisfies the eligibility requirements of Section 3.1 and 3.2 for the new Plan Year.
- 4.5 Eligible Benefits.** Notwithstanding that a Participant's Salary Conversion Amounts may be used to pay premiums under this Plan for one or more of the Eligible Benefits set forth in the Plan Highlights, said Benefits will not be provided by this Plan but by the specific Benefit plan made available by the Sponsor and Participating Affiliates and elected by the Participant. Any insurance benefits payable to Participants are described in the contracts or policies issued by the insurance companies or, with respect to a self-insured arrangement, described in the plan document governing said arrangement.
- (a) The Plan provides only for payment of premiums for the Eligible Benefits selected by Participants. Actual terms of the insurance coverage are separately and exclusively governed by the insurance policies or the plan document in the case of a self-insured arrangement.
 - (b) The Sponsor and Participating Affiliates do not guarantee payment of any claims arising for benefits under the insurance policies, or plan document, as the case may be, nor does eligibility under the Plan guarantee that Participants will satisfy any insurer's requirements for eligibility to receive insurance.
 - (c) If premium costs change during the Plan Year, a revised schedule of premium costs will be distributed.
- 4.6 No Deferred Compensation.** At no time shall this Plan permit a Participant to defer the receipt of compensation or benefits from one Plan Year to another Plan Year, except as expressly permitted by Code Section 125.

SECTION 5

ELECTION PROCEDURES

- 5.1 Initial Elections.** The Plan Administrator shall coordinate initial elections by making election forms available to newly eligible Employees as they become eligible or at such earlier time as the Plan Administrator deems appropriate. The election form shall permit an eligible Employee to elect Eligible Benefits, and the eligible Employee must complete, sign and return the form to the Plan Administrator. If the Employee returns the election form before his effective date of participation pursuant to Section 3.2, the election shall be effective on his effective date of participation. If the Employee returns the election form within 30 days after his effective date of participation, the election shall be effective on the first day of the first pay period following the later of his effective date of participation or the date the election form is received by the Plan Administrator. The previous sentence notwithstanding, if the Plan Highlights specifies a participation commencement date that is retroactive to the date of hire for a newly-hired Eligible Employee (other than an Employee who is rehired within 30 days after terminating employment or an Employee who returns to

employment after an unpaid leave of absence of less than 30 days) who returns the election form within 30 days after his date of hire, the election shall be effective retroactive to such Employee's date of hire. If an Employee fails to return a completed initial election form within 30 days after the participation commencement date, the Employee's failure to make an election is governed by Section 5.6.

Notwithstanding the foregoing, if this Plan is an amendment and restatement of a previously existing plan, the Plan Administrator may but need not obtain re-executed election forms from current Participants reaffirming their election to participate if the Plan Administrator determines in its discretion that the enrollment forms currently in effect at the time of said amendment and restatement are consistent with the terms of this Plan. Except as otherwise provided in Section 5, an initial election shall be irrevocable for the remainder of the Plan Year to which such election relates.

5.2 Annual Elections. The Plan Administrator shall coordinate annual elections by making election forms available to each eligible Employee and Participant approximately 30 days prior to the beginning of each Plan Year, or during such earlier time as the Plan Administrator may prescribe. The election form shall permit an eligible Employee to elect Eligible Benefits, and shall permit a Participant to change or revoke a prior election of Eligible Benefits. All election forms must be completed and returned on or before the date specified by the Plan Administrator for making annual elections. An eligible Employee's or Participant's annual election shall be effective on the first day of the Plan Year following the date specified by the Plan Administrator for making annual elections. If an Employee fails to return a completed annual election form on or before the date specified by the Plan Administrator, the Employee's failure to make an election is governed by Section 5.6. Except as otherwise provided in this Section 5, an annual election shall be irrevocable for the remainder of the Plan Year to which such election relates.

5.3 Change in Status. A Participant may change or revoke an election during the Plan Year if the Participant experiences an event as described in Section 5.4 below, including a Change in Status, and such change or revocation satisfies the consistency requirements of Section 5.4. Any permissible change or revocation must be made in the manner prescribed by the Plan Administrator within a reasonable period of time as established by the Plan Administrator following the date of the Change in Status or other event. For purposes of this Plan, a "Change in Status" shall mean any of the following events:

- (a) The Participant's marriage, death of the Participant's spouse, divorce, legal separation, or annulment;
- (b) Birth, death, adoption, or placement for adoption of a Dependent with a Participant;
- (c) A change in the employment status of the Participant or the Participant's spouse or Dependent(s), including termination or commencement of employment, strike or lockout, beginning or returning from an unpaid leave of absence, and a change in worksite that requires a change in elections under an underlying Benefit. In addition to the foregoing, if eligibility for a cafeteria plan (including this Plan) or other benefit plan of the Sponsor or Participating Affiliate or the employer of the Participant's spouse or Dependent, depends on such an individual's employment status and a change in the individual's employment status causes the individual to gain or lose eligibility under such plan, that change will constitute a change in employment under this Section 5.3(c);
- (d) Events that cause the Participant's Dependent(s) to satisfy or cease to satisfy eligibility requirements for coverage under a Benefit plan on account of attainment of age, student status, or any similar circumstances specified in the applicable Benefit plan;
- (e) A change in residence by the Participant, the Participant's spouse, or the Participant's Dependent(s); and
- (f) Any other events, determined in the sole discretion of the Plan Administrator, to be a Change in Status under any regulation, ruling, release or statement issued under Code Section 125.

5.4 Events Permitting a Mid-Plan Year Election Change. Notwithstanding the irrevocability requirements of Sections 5.1 and 5.2 of this Plan, a Participant may change an election during a Plan Year under the circumstances and in the manner described below.

- (a) Change in Status. If a Participant experiences a Change in Status, as defined in Section 5.3, the Participant may make a new election as long as that election is consistent with the Change in Status. A new election is consistent with a Change in Status if, as determined in the sole discretion of the Plan Administrator, the election change is on account of and corresponds with a Change in Status that affects eligibility for Eligible Benefits or benefits under the plan of a

Dependent's or Participant's spouse's employer. In addition, the following special consistency requirements must be satisfied, if applicable:

- (i) Loss of Spouse or Dependent Eligibility. If the Change of Status is the Participant's divorce, annulment or legal separation from a spouse, the death of a spouse or Dependent, or a Dependent ceasing to satisfy the eligibility requirements for coverage, a Participant's mid-year election options are limited to canceling accident or health insurance coverage (as defined in Section 5.4(k)(i) below) for the spouse involved in the divorce, annulment or legal separation, the deceased spouse or Dependent, or the Dependent that ceased to satisfy the eligibility requirements for coverage. No other election is consistent with such a Change in Status, provided that if a Participant or his spouse or Dependent becomes eligible for continuation coverage under a plan maintained by the Sponsor or a Participating Affiliate as provided in Code Section 4980B (COBRA) or any similar state law, the Participant may increase his pre-tax election to pay for the continuation coverage for himself, his spouse or Dependent, as applicable.
 - (ii) Coverage Under Another Employer's Plan. If a Participant or his spouse or Dependent gains eligibility for coverage under another cafeteria plan or underlying benefit plan funded by a cafeteria plan due to a change in the Participant's marital status or a change in employment status of the Participant, his spouse or Dependent, a Participant's election under this Plan to cease or decrease coverage for that individual corresponds with that Change in Status only if coverage for that individual goes into effect or is increased under the other plan.
- (b) Significant Curtailment of Coverage. If coverage offered to a Participant or Participant's spouse or Dependent is significantly curtailed or ceases during a Plan Year, affected Participants may revoke their elections for such coverage under the Plan. Each such affected Participant may make a new election prospectively for "similar coverage" under another plan, if any, that is made available for the remainder of the Plan Year. Such an election is to be made within a reasonable period of time as established by the Plan Administrator after the coverage is significantly curtailed or ceases. Coverage is deemed to be significantly curtailed only if there is an overall reduction in coverage provided under the plan so as to constitute reduced coverage generally. In all events, the Plan Administrator will determine in its sole discretion and in accordance with prevailing Internal Revenue Service guidance whether a curtailment is "significant" and whether other coverage is "similar coverage."
- (c) Medicare/Medicaid Entitlement. If a Participant or a Participant's spouse or Dependent who is enrolled in a Sponsor's or Participating Affiliate's accident or health plan (as defined in Section 5.4(k)(i) below) becomes entitled to Medicare or Medicaid (other than coverage consisting solely of pediatric vaccine benefits under Section 1982 of the Social Security Act), the Participant may make a prospective election change to cancel or reduce coverage for the Participant or his spouse or Dependent, as applicable, under the Plan. In addition, if a Participant or his spouse or Dependent who has been entitled to such coverage under Medicare or Medicaid loses eligibility for such coverage, the Participant may make a prospective election change to commence or increase coverage of that Participant, spouse or Dependent under a Sponsor's or Participating Affiliate's accident or health plan. An election change is to be made within a reasonable period of time as established by the Plan Administrator after the event described in this Section 5.4(c).
- (d) Judgment, Decree or Order. If a Sponsor or Participating Affiliate is in receipt of a judgment, decree or order resulting from a divorce, legal separation, annulment, or change in legal custody, including a qualified medical child support order (as defined in Section 609 of ERISA) with respect to a Dependent child or Dependent foster child of a Participant, and if such a court order requires accident or health coverage (as defined in Section 5.4(k)(i) below) for a Participant's Dependent child or Dependent foster child, the Plan Administrator shall change the Participant's election under the Plan to comply with the order. Specifically, a Participant may (i) change his or her election to provide coverage for the Dependent child or Dependent foster child if the order requires the Participant to provide coverage; or (ii) change his or her election to revoke coverage for the Dependent child or Dependent foster child if the order requires the Participant's spouse, former spouse or other individual to provide coverage for such child and that coverage is provided.
- (e) Addition, Significant Improvement, or Elimination of Option. If a Sponsor or Participating Affiliate

adds or eliminates a benefit package option (as defined in Section 5.4(k)(ii) below) or other coverage option, or significantly improves coverage under an existing benefit package option or other coverage option, during a Plan Year, affected Participants or, if applicable, Employees who are otherwise eligible to participate in the Plan, may prospectively elect the newly-added or significantly improved option, or elect another option if an option has been eliminated, and make corresponding election changes with respect to other benefit package options providing similar accident or health coverage, subject to the terms of the underlying coverage. The Plan Administrator will determine in its sole discretion whether a benefit or coverage option has been added or significantly improved. An election change is to be made within a reasonable period of time as established by the Plan Administrator after the event described in this Section 5.4(e).

- (f) Change in Cost of Coverage. If the cost of any coverage payable by a Participant under a qualified benefits plan maintained by a Sponsor or Participating Affiliate is increased (or decreased) during the Plan Year, the compensation reduction amount of each Participant shall be automatically adjusted consistent with such change in required costs. If the cost of coverage payable by a Participant under the Plan for a benefit package option significantly increases (or significantly decreases), as determined by the Plan Administrator in its sole discretion, a Participant may make a corresponding prospective change in his election under the Plan or revoke an existing election and, in lieu thereof, receive on a prospective basis coverage under another coverage option, if any, providing similar coverage. The Plan Administrator, in its sole discretion, shall determine whether a benefit or benefit coverage provides “similar coverage” and whether a cost increase or decrease is “significant.”
- (g) Change in Coverage of Spouse or Dependent Under Other Employer’s Plan. A Participant may make a prospective election change that is on account of and corresponds with a change made under another employer plan (including a plan of the Sponsor or a Participating Affiliate or a plan of the Participant’s spouse’s, former spouse’s, or Dependent’s employer) if:
 - (i) the other cafeteria plan or qualified benefits plan permits its participants to make an election change that would otherwise be permitted under proposed or final Internal Revenue Service regulations under Code Section 125 (disregarding the provisions described in this Section 5.4(g)); or
 - (ii) the Plan’s Plan Year is different from the period of coverage under the other cafeteria plan or qualified benefits plan.

The Plan Administrator will determine in its sole discretion and in accordance with IRS guidance whether a Participant’s elected change is on account of and corresponds with the foregoing. An election change is to be made within a reasonable period of time as established by the Plan Administrator after the event described in this Section 5.4(g).

- (h) Special Enrollment Rights. If a Participant or his spouse or Dependent is entitled to special enrollment rights under a group health plan in accordance with Code Section 9801(f), a Participant may revoke a prior group health coverage election and make a new election that corresponds with such special enrollment right to the extent required by Code Section 9801 (and the regulations and other guidance issued thereunder). As required by the Health Insurance Portability and Accountability Act of 1996 (“HIPAA”), a special enrollment right will arise if:
 - (i) The Participant or his spouse or Dependent declined to enroll in group health plan coverage because he had other coverage, and eligibility for the other coverage is terminated due to: (A) exhaustion of the maximum period of COBRA coverage, if the other coverage was COBRA coverage, or (B) the loss of eligibility for the coverage or employer contributions for the coverage were terminated, if the other coverage was not COBRA coverage (provided, however, that a mid-year election change pursuant to this subsection must be elected not later than 30 days after the event giving rise to the special enrollment right);

- (ii) The Participant acquires a new spouse or Dependent as a result of marriage, birth, adoption, or placement for adoption. An election to add previously eligible Dependents due to acquisition of a new spouse or Dependent child shall be deemed consistent with the special enrollment right. An election change on account of a HIPAA special enrollment right resulting from birth, adoption, or placement for adoption of a new Dependent child may be effective retroactively by up to 30 days to the date of birth, adoption, or placement for adoption, subject to the provisions of the underlying group health plan; or
 - (iii) The Participant or a Dependent is covered under a State Medicaid or State Children's Health Insurance Plan and that coverage is terminated due to a loss of eligibility for such coverage, or the Participant or a Dependent becomes eligible for State premium assistance under a State Medicaid or State Children's Health Insurance Plan. An election change on account of a HIPAA special enrollment right resulting from these events must be elected not later than 60 days after the event that creates the special enrollment right.
- (i) Loss of Other Group Health Coverage. A Participant may prospectively change his election to add group health coverage for the Participant or his spouse or Dependent if such individual loses group health coverage sponsored by a governmental or educational institution, including a state children's health insurance program (SCHIP) under Title XXI of the Social Security Act; a medical care program of an Indian Tribal government (as defined in Code Section 7701(a)(40)), the Indian Health Service or a tribal organization; a state health benefits risk pool; or a foreign government group health plan, subject to the terms of the applicable benefit package option.
 - (j) Other Permitted Election Changes. In addition to the foregoing, a Participant shall be permitted to change his elections under the Plan to the extent the Plan Administrator determines that such change is consistent with the Code and with regulations, rulings, releases and other guidance issued under the Code.
 - (k) Definitions.
 - (i) "Accident or health coverage" means coverage under an accident or health plan as defined in Code Section 105 and its underlying regulations, including, but not limited to, Accidental Death and Dismemberment Insurance, Dental Insurance, Disability Insurance, Health Insurance; Life Insurance; or Vision Insurance as elected in the Plan Highlights.
 - (ii) "Benefit package option" means an Eligible Benefit or Benefit as defined in Section 2.9 above or an option for coverage under an underlying accident or health plan (for example, an indemnity, HMO, or PPO option under an accident or health plan).

5.5 Nondiscrimination Requirements. The Plan Administrator may in its sole and absolute discretion take any actions that it deems appropriate to ensure compliance with all applicable non-discrimination requirements and all applicable limitations on Benefits provided to Key Employees or Highly Compensated Individuals or Participants. These actions may include without limitation the modification of elections by Key Employees and Highly Compensated Individuals or Participants with or without their consent.

5.6 Failure to Make Elections. An eligible Employee who fails to return a completed election form to the Plan Administrator on or before the date specified for making an initial election under Section 5.1 shall be deemed to have elected to receive his compensation in cash. A Participant who fails to return a completed election form to the Plan Administrator on or before the specified date for making an annual election for a subsequent Plan Year under Section 5.2 shall be deemed to have (a) reelected the same Benefit coverages, if any, in effect for the Participant just prior to the end of the preceding Plan year and (b) agreed to convert the Participant's compensation for the subsequent Plan year equal to the Participant's share of premiums during such Plan Year for the Benefit coverages.

5.7 Automatic Termination of Election. Elections made under this Plan (or deemed to be made under Section 5.6 shall automatically terminate on the date on which the Participant ceases to be a Participant in the Plan, although coverage or benefits under the underlying health benefit plan may continue if and to the extent provided by such plan. Salary reductions under this Plan shall terminate as of the last payroll date prior to the Participant's transfer to an employment classification that causes him to be ineligible to participate in the Plan or receive Eligible Benefits.

- 5.8 **Family and Medical Leave Act.** If a Participant is on an unpaid leave of absence pursuant to the Family and Medical Leave Act (FMLA), the Participant shall be allowed to continue participation in the Plan in any manner consistent with Internal Revenue Service Regulations including, without limitation, (a) the prepayment of premiums; (b) payment during the term of the Participant's FMLA leave on the same schedule as payments would be made if the Participant were not on leave; or (c) under any system voluntarily agreed to by the Participant and the Sponsor or Participating Affiliate, as applicable, that is not inconsistent with said Regulations.
- 5.9 **Unpaid (Non-FMLA) Leave of Absence.** The Participant's commencement of, and subsequent return from, an approved unpaid leave of absence shall each be treated as a Change in Status. An authorized leave of absence granted by the Sponsor or Participating Affiliate, as applicable, pursuant to which the Employee, in accordance with the Sponsor's or Participating Affiliate's employment policies and procedures, may continue participation in the Benefits will not interrupt participation in the Plan. In the absence of any employment policies or procedures permitting continued participation in the Plan, a Participant shall cease participation in the Plan upon commencement of an unpaid (non-FMLA) leave of absence. If the Sponsor's or Participating Affiliate's employment policies and procedures permit continued participation in the event of an approved unpaid leave of absence, the Participant may, upon commencing an approved unpaid (non-FMLA) leave of absence, choose either to continue participation in the Plan, on a pre-tax or an after-tax basis, or to terminate coverage under the Plan. If the Participant elects to continue coverage on a pre-tax basis while on an unpaid leave of absence, the Participant will be required to pay the cost of coverage during the leave in such manner as determined by the Sponsor or Participating Affiliate, as applicable, which may include, but is not necessarily limited to, the prepayment of premiums. On return to active employment, a Participant who terminated coverage under the Plan may be treated as incurring a Change in Status and such Participant shall be allowed to make a new election under the Plan in accordance with the Change in Status provisions of the Plan.

SECTION 6

PLAN ADMINISTRATION

- 6.1 **Plan Administrator.** The Plan Administrator is the named fiduciary with full authority and responsibility to control and manage the operation and administration of the Plan. The Plan is subject to contract administration.
- 6.2 **Powers.** The Plan Administrator shall have the exclusive right and discretion to interpret the Plan (but not to modify or amend the Plan) and to decide any and all questions arising in the administration, interpretation and application of the Plan. The Plan Administrator shall establish whatever rules it finds necessary for the operation and administration of the Plan. The decisions of the Plan Administrator or its action with respect to the Plan shall be conclusive and binding upon all persons having or claiming to have any right or interest in or under the Plan.
- 6.3 **Claims Procedure.** Any claim which arises under an Eligible Benefit shall not be subject to review under this Plan, and the Plan Administrator's authority under Section 6.2 shall not extend to any matter as to which an administrator under any such other insurance plan is empowered to make determinations under such plan. Notwithstanding the foregoing, any residual claims under this Plan shall be subject to any claims procedures that may be established by the Plan Administrator or required by law.
- 6.4 **Review Procedure.** Any person whose claim under this Plan has been denied may file a written appeal with the Plan Administrator within 90 days after receipt by the claimant of written notification of the denial. The claimant or his authorized representative may review any pertinent documents and submit any issues or comments to the Plan Administrator. The claimant and/or his authorized representative shall be afforded an opportunity to meet with the Plan Administrator for a full and fair review of the claim and the Plan Administrator's decision. The decision of the Plan Administrator on appeal will normally be made within 60 days of its receipt of a written appeal. The time for rendering a decision may be extended for an additional 60 days because of special circumstances by the Plan Administrator providing written notice of such extension to the claimant. The claimant shall be notified in writing of the decision of the Plan Administrator and the reasons therefore, including references to specific Plan provisions. If the claimant is not notified of the decision within 60 days (120 days under special circumstances) then the claim shall be deemed denied on appeal.
- 6.5 **Information to be Furnished.** Participants shall provide the Plan Administrator with such information and evidence, and shall sign such documents, as may reasonably be requested from time to time for the purpose of administration of the Plan.

SECTION 7

AMENDMENT AND TERMINATION OF THE PLAN

7.1 **Amendment.**

- (a) The Service Provider may amend any part of the Plan at any time, including, without limitation, retroactive amendments necessary to ensure that the Plan meets or continues to meet the requirements of Code Section 125, regulations, revenue rulings, and any other guidelines published by the Internal Revenue Service. The Service Provider shall provide written notice of any amendment to the Employer, so long as the Employer has engaged and retained the Service Provider to provide administrative services in connection with the Plan under a services agreement from time to time in effect; provided, however, that the Service Provider shall be under no obligation to amend the Plan or provide written notice of any amendment to the Sponsor after the termination of any such services agreement. The Service Provider may require a Sponsor to execute a new Plan Highlights and return it to the Service Provider when an existing POP is amended and restated by the Service Provider.
- (b) The Sponsor, acting through a duly authorized officer, partner or sole proprietor, as the case may be, may amend the Plan at any time, or from time to time by executing a new Plan Highlights. The previous sentence notwithstanding, the Sponsor's authority to amend the Plan shall be limited to those terms of the Plan that are unique to the Sponsor as specified in the Plan Highlights, including, but not limited to, eligibility, Eligible Benefits funded through the Plan and the Plan Year. Any amendment to the Plan adopted by the Sponsor shall be deemed to be an amendment to the Plan on behalf of the Sponsor and any Participating Affiliate. No amendment to the Plan adopted by the Sponsor shall be effective before the Sponsor has provided notification of said amendment to the Service Provider.
- (c) No amendment shall affect the rights of Participants to receive payment for Eligible Benefits incurred prior to the date the amendment is adopted.

- 7.2 **Termination.** The Plan is intended by the Sponsor to be a permanent program for the benefit of its Employees. The Sponsor nevertheless reserves the right to terminate the Plan, acting through duly authorized officer, partner or sole proprietor, as the case may be, at any time and for any reason. Such termination shall be effected by a written instrument executed by the Sponsor with the same formality as this instrument. The Sponsor shall provide written notice of the termination to the Service Provider. Termination of the Plan shall not affect the rights of Participants to receive payment for Eligible Benefits incurred prior to the date as of which the requisite action is taken by the Sponsor to terminate the Plan.

SECTION 8

MISCELLANEOUS

- 8.1 **No Employment Rights Conferred.** The adoption and maintenance of the Plan shall not be deemed to constitute a contract between the Sponsor or any Participating Affiliate and any Participant or to be a consideration for, or an inducement to or condition of, the employment of any person. Nothing herein contained shall be deemed to: (i) give to any Participant the right to be retained in the employment of the Sponsor or any Participating Affiliate, (ii) interfere with the right of the Sponsor or any Participating Affiliate to discharge any Participant at any time, (iii) give to the Sponsor or any Participating Affiliate the right to require any Participant to remain in its employment, or (iv) interfere with any Participant's right to terminate his employment with the Sponsor or any Participating Affiliate at any time.
- 8.2 **Treatment of Participant Contributions.** The Sponsor and Participating Affiliates shall have no right, title or interest in any Participant salary deferral contributions, whether or not placed in trust, nor shall any part of any trust established by a Sponsor or Participating Affiliates revert or be repaid to the Sponsor or Participating Affiliates, directly or indirectly.
- 8.3 **Participation in the Plan by an Affiliate.** With the consent of the Sponsor, any Affiliate may adopt the Plan by taking appropriately documented legal action. A Participating Affiliate may terminate its participation in the Plan or discontinue making contributions on behalf of its Employees to the Plan by appropriate written action as described in the preceding sentence.

- 8.4 Governing Law.** The Plan is governed by the Code and the Treasury regulations promulgated thereunder, but the Sponsor does not guarantee the favorable tax treatment sought by the Plan. To the extent not preempted by federal law, the provisions of the Plan shall be construed, enforced and administered according to the laws of the state or commonwealth of the Sponsor's principal office.
- 8.5 Gender and Number.** A pronoun or adjective in the masculine gender includes the feminine gender, and the singular includes the plural.
- 8.6 Severability.** If any provision of the Plan is held invalid or unenforceable, its invalidity or unenforceability shall not affect any other provisions of the Plan, and the Plan shall be construed and enforced as if such provision had not been included herein.
- 8.7 Indemnification of Sponsor by Participants.** If any Participant receives one or more payments under the Plan that are not for a permitted Benefit, the Participant shall indemnify and reimburse the Sponsor for any liability it may incur for failure to withhold federal or state income tax or Social Security tax from such payments. However, the amount of any required indemnification shall not exceed the additional federal and state income tax that the Participant would have owed if the payments had been made to the Participant as regular cash compensation, plus the Participant's share of any Social Security tax that would have been paid on such compensation, less any such additional income and Social Security tax actually paid by the Participant.
- 8.8 Captions.** The captions contained herein are inserted only as a matter of convenience and for reference, and in no way define, limit, enlarge, or describe the scope or intent of the Plan, nor in any way shall affect the Plan or the construction of any provision thereof.



The ADP logo is a registered trademark of ADP, LLC.

AMENDMENT TO THE ADP PREMIUM ONLY PLAN DOCUMENT

WHEREAS, pursuant to Section 7.1(a) of the ADP Premium Only Plan document, the Service Provider may amend the Premium Only Plan at any time; and

WHEREAS, the ADP Premium Only Plan was amended effective July 1, 2007 to add a Massachusetts Addendum that applied to, and provided special Plan provisions for, Massachusetts Sponsors to satisfy the requirements of Massachusetts General Laws, Chapter 151F, and regulations thereunder, which law required Massachusetts Sponsors to establish and maintain a cafeteria plan under Internal Revenue Code Section 125 to permit individuals to pay for health insurance on a pre-tax basis ("Section 125 premium only plan"); and

WHEREAS, Internal Revenue Code Section 125(f)(3), as added by the Patient Protection and Affordable Care Act of 2010, prohibits use of a Section 125 premium only plan by individuals who purchase individual health insurance on a state or federal Exchange or Marketplace, and

WHEREAS, Internal Revenue Service Notice 2013-54 prescribed guidance for Section 125 premium only plans regarding compliance with Code Section 125(f)(3) effective for plan years beginning on or after January 1, 2014, and

WHEREAS, the legislature of the Commonwealth of Massachusetts repealed Massachusetts General Laws, Chapter 151F on March 17, 2014, and

WHEREAS, based on the foregoing, the Service Provider believes it is appropriate to formally amend the ADP Premium Only Plan document to reflect such changes in the law;

NOW THEREFORE, effective for plan years beginning on or after January 1, 2014, the Premium Only Plan is hereby amended to delete the Massachusetts Appendix.

PREMIUM ONLY PLAN - Enrollment Form/Salary Reduction Agreement

All eligible Employees should complete this Form and return it to the Plan Administrator.

Employer Name: _____

Employee Name: _____ SS#: _____

I have reviewed the terms of my employer's Premium Only Plan as described in the Plan Summary. I understand that payment of pre-tax premiums through the Premium Only Plan is optional for all eligible Employees who are or will be enrolled in one or more of the Benefits listed in the Adoption Agreement. As a Participant in the Plan, I understand that:

- If I elect to have my future income reduced to pay my share of premiums for one or more Benefits on a pre-tax basis through the Premium Only Plan,** my share of premiums will be deducted pre-tax from my future pay through equal payroll deductions during the Plan Year.
- I will have the opportunity to change my benefit elections prior to the beginning of the next Plan Year, effective as of the beginning of that next Plan Year. I may not change or revoke this Agreement as of any date prior to the beginning of the next Plan Year unless I experience an event that permits a mid-year election revocation and/or change, as set forth in the Plan and described in the Plan Summary.
- Payroll deductions under this Agreement will continue for each pay period until this Agreement is revoked, amended or otherwise terminated. The amount of my contribution for the Benefits that I have selected is set forth on a schedule or schedules that my employer has provided to me. I understand that the Plan Administrator will automatically increase (or decrease) my contribution rate if there is a change in the cost of such Benefits.
- Executing this Agreement will not commence my coverage under the Benefits I have elected to fund through the Plan. I will be required to complete separate enrollment forms and/or salary reduction agreements for these Benefits
- Pre-tax premiums that are taken from my pay under this Agreement will reduce my compensation for Social Security tax purposes. This could cause my Social Security benefits to be decreased.
- I will have the opportunity to change my election for each upcoming Plan Year during an open enrollment period before the beginning of that Plan Year. If I fail to return a completed Agreement and similar agreements for any underlying Benefits to the Plan Administrator on or before the specified date during this open enrollment period, that failure will be treated as (a) an election to reelect for the upcoming Plan Year the same Benefit coverage(s) then in effect and (b) an agreement to reduce my compensation for the upcoming Plan Year equal to my share of the premiums for the Benefit coverage(s) deemed elected.

-
- ☐ I elect to participate. By checking this box, I understand that my future salary will be reduced to pay for insurance premiums on a pre-tax basis. I understand that I cannot change this election until the beginning of the next Plan Year, except as provided in the Plan document and described in the Plan Summary.
 - ☐ I do not want to participate. By checking this box, I understand that my salary will not be reduced to pay for insurance premiums on a pre-tax basis. I understand that I cannot change this election until the beginning of the next Plan Year, except as provided in the Plan document and described in the Plan Summary.

Employee's Signature

Date

Accepted and agreed to:

Plan Administrator's Signature

Date

** If my employer includes Group Term Life Insurance as a Benefit under the Plan, I understand that the cost of any group term life insurance coverage in excess of \$50,000 that I elect will be included in my taxable income.



PREMIUM ONLY PLAN — Change in Election Event Certification Form

This form should be completed any time a participant requests a mid-year election change in underlying benefits coverage(s) funded through the Premium Only Plan.

Name: _____ SS#: _____

Address: _____

THE CHANGE IN ELECTION EVENT(S) ON WHICH MY REQUEST IS BASED IS/ARE:

Check Applicable Box(es) to indicate the Change in Election Event(s) that apply to your situation. Election changes generally cannot be retroactive and must be consistent with the Change in Election Event(s) checked below, as described in the Plan Summary.

A. FMLA Leave (Medical insurance premiums to be paid as follows while on leave):

- ☐ After-tax, by sending in payments
☐ Pre-tax, by prepayment
☐ Other (as agreed with the Plan Administrator)

B. Changes in Status

1. Change in Marital Status

- ☐ Marriage ☐ Legal separation
☐ Divorce or annulment ☐ Death of spouse

2. Change in Number of Dependents and Children

- ☐ Birth ☐ Adoption or placement for adoption
☐ Death

3. Change in Employment Status That Affects Eligibility

	You	Your Spouse, Dependent or Child
Termination of employment	☐	☐
Commencement of employment	☐	☐
Part-time to full-time	☐	☐
Full-time to part-time	☐	☐
Strike or lock-out	☐	☐
Commencement of unpaid leave of absence	☐	☐
Return from unpaid leave of absence	☐	☐
Change in worksite	☐	☐
Other (salaried to hourly, union to non-union, etc.)	☐	☐

Provide Details _____

4. Change in Eligibility of Dependent or Child Under an Employer's Plan

- ☐ Lost eligibility
☐ Gained eligibility

5. Changes in Residence Affecting Eligibility

You	Your Spouse, Dependent or Child
☐	☐

6. Change Based on Implementation of PPACA Group Health Plan Coverage Mandate

You	Your Child
☐	☐

C. Special Enrollment Rights Under HIPAA

- ☐ Loss of other group health plan coverage
- ☐ Acquired new Spouse or Dependent (birth, marriage, adoption, placement for adoption)
- ☐ Loss of eligibility for Medicaid/CHIP coverage, or became eligible for Medicaid/CHIP premium assistance

D. Certain Judgments, Decrees and Orders

- ☐ Order resulting from divorce, legal separation, annulment or change in custody requiring coverage for Dependent

E. Medicare or Medicaid

- ☐ Became entitled to Medicare or Medicaid
- ☐ Lost entitlement to Medicare or Medicaid

F. Change in Cost

- ☐ Significant increase in cost of coverage
- ☐ Significant decrease in cost of coverage
- ☐ Automatic change in cost of coverage

G. Change in Coverage

- ☐ Significant curtailment of coverage
- ☐ Addition or significant improvement of Plan option
- ☐ Loss of group health coverage sponsored by a governmental or educational institution
- ☐ Change in coverage under another employer's plan

H. Other Permitted Election Consistent with IRS Guidance: *(provide details)*

I understand that I may be required to provide the appropriate documentation for any of the changes that I have checked above. The status and participation changes must comply with the Plan, and the Plan Administrator has sole discretion to make this determination. If I am requesting an election change to cancel or reduce coverage because (a) I or my family member has become eligible for new or improved coverage (including coverage at a reduced cost) under an employer's plan or entitled to coverage under Medicare/Medicaid, or (b) a judgment, decree or order requires an individual other than me to provide accident or health coverage for my Child, I certify that such new, improved or court-ordered coverage has already been obtained or is in the process of being obtained for the applicable person.

If my change in election is denied, I understand that I will have to appeal the decision within the time frame specified in the Plan Summary for the Plan. **If approved, I hereby attest that my change in election is made on account of and is consistent with the Change in Election Event indicated above.**

Employee's Signature

Date

Accepted and agreed to:

Plan Administrator's Signature

Date



The ADP logo is a registered trademark of ADP, LLC.

October 2014

**RECORD OF ADOPTION
OF THE
PREMIUM ONLY PLAN
FOR THE EMPLOYEES OF**

(Name of Employer)

By signing this Record of Adoption, the Employer approves and adopts the terms of the above-named Plan as stated in the Premium Only Plan document and Plan Highlights and acknowledges that the adoption is in accordance with applicable governing law. A copy of the current Premium Only Plan document and current Plan Highlights is attached to this Record of Adoption and incorporated herein by reference.

(DATE)

(NAME)

(TITLE)



The ADP logo is a registered trademark of ADP, LLC.

RESOLUTIONS OF ADOPTION

RESOLUTIONS

Of

_____(the Sponsor)

For the Adoption of the

(Insert Name of Plan) Premium Only Plan (the Plan)

WHEREAS, the Sponsor desires to adopt the above-named Plan, which includes the attached Premium Only Plan document and accompanying Plan Highlights, for the benefit of its eligible employees.

NOW THEREFORE, be it hereby:

RESOLVED, that the Plan is hereby adopted in substantially the form attached hereto effective as of _____, 20____, as a cafeteria plan to be maintained by the Sponsor pursuant to Section 125 of the Internal Revenue Code; and be it

FURTHER RESOLVED, that the proper individuals(s) as authorized by the Sponsor be and hereby are authorized and directed to take such action and to execute such documents as may be deemed necessary to effectuate the above resolution and to direct counsel to take such action as may be necessary to satisfy any applicable requirements of law.

IN WITNESS WHEREOF, these resolutions have been adopted on this ___day of_____, 20__.

(NAME)

(TITLE)



The ADP logo is a registered trademark of ADP, LLC.

April 2014

PREMIUM ONLY PLAN

IMPORTANT INFORMATION ON HOW YOU MAY INCREASE YOUR TAKE HOME PAY

We are pleased to offer you our Premium Only Plan (POP). By taking part in this employee benefit plan, you'll essentially be giving yourself a raise by increasing your take-home pay.

The Premium Only Plan allows employee payroll deductions for group insurance premiums to be taken before taxes instead of after taxes. The extra money you put in your pocket comes from not having to pay Social Security and Federal Income taxes on your premium deductions. In some states you also save by not having to pay State Income taxes either.

	With POP	Without POP
Monthly Gross Pay	\$2000	\$2000
Pre-tax premium payment	185	0
• Medical..... \$125		
• Dental..... 30		
• LTD 10		
• Term Life 10		
• Vision 7		
• AD & D 3		
Taxable Gross Income	1815	2000
Federal Tax	177	205
Social Security/Medicare	139	153
State Tax	51	62
Post-tax premium payment	0	185
TAKE HOME PAY	\$1448	\$1395

With POP, this employee's take home pay increased by \$636 per year.

Illustration based on a single employee residing in New York state with one federal exemption at 2014 tax rate. Amounts in this illustration have been rounded to whole dollars. Individual results may vary. Rules regarding state income taxability vary by state.



Premium Only Plan Select

PREMIUM ONLY PLAN - Controlled Group/Affiliated Service Group Certification

Client Name: _____

Why is it important to determine if you are in a Controlled Group or an Affiliated Service Group?

When performing nondiscrimination tests for a Premium Only Plan, the law requires that all employees of all members of a controlled group or an affiliated service group be treated as employed by a single employer. ADP can perform these compliance tests with respect to the employees of the controlled group and/or affiliated service group (if any) defined by you in this Controlled Group Certification only if all members of your controlled group or affiliated service group are payroll clients of ADP processed within the same ADP payroll region. If you are in a controlled group or affiliated service group, and all members of your controlled group or affiliated service group are not payroll clients of ADP processed within the same ADP payroll region, you will not be able to rely upon the compliance test results provided by ADP for your Premium Only Plan and will need to consult with your legal and/or tax advisor to have these tests run with reference to your entire controlled group. Therefore, it is important to determine whether your business is in a controlled group or an affiliated service group. Additionally, the ADP Premium Only Plan may not be offered to any affiliated employer UNLESS that affiliate is a member of your controlled group or an affiliated service group, so the determination is important in this respect as well. **ADP cannot make this determination for you.** The information below is merely an aid to assist you in making your own controlled group determination. Information concerning controlled groups can be found in Internal Revenue Code Section 414(b) and (c) and in IRS Regulation 1.414(c)-1 through (c)-5. Information concerning affiliated service groups can be found in Internal Revenue Code Section 414(m) and proposed IRS Regulation 1.414(m)-1 through (m)-4. However, these are not the exclusive sources of information with respect to controlled groups or affiliated service groups. These determinations can be very complex, and ADP strongly encourages you to consult your legal and/or tax advisor in making this determination.

Ask yourself the following questions as the first step toward evaluating whether your business may be a member of a controlled group of companies, trades, or businesses or an affiliated service group:

- | | | |
|--|------------------------------|-----------------------------|
| 1. Does my business directly or indirectly own any portion of another business? | ☐ Yes | ☐ No |
| 2. Does any other business or trust directly or indirectly own any portion of my business? | ☐ Yes | ☐ No |
| 3. Does any person who owns part of my business (or who could be treated as owning part of my business by attribution) own part of any other business? | ☐ Yes | ☐ No |
| 4. Is my business part of a group of service organizations where one organization is a partner or shareholder in the other organization and one organization regularly performs services for the other or is regularly associated with the other organization in performing services for third parties? | ☐ Yes | ☐ No |
| 5. Is my business part of a group of service organizations under which: (a) a significant portion of the business of any organization is the performance of services for the others, (b) the services performed for the other organizations are of a type historically performed by employees in the service field practiced by the other organizations, and (c) 10% or more of the interest in any of the organizations is owned, directly or indirectly, in the aggregate by persons who are highly compensated employees of any of the organizations? | ☐ Yes | ☐ No |
| 6. Is my business part of a group of organizations where the principal business of one of the organizations in the group is the performance of management functions, on a regular and continuing basis, for the other organizations in the group? | ☐ Yes | ☐ No |

If you answered "No" to questions 1, 2 and 3, your business is probably not part of a controlled group.

If you answered "No" to questions 4, 5 and 6, your business is probably not part of an affiliated service group.

If you answered "Yes" to questions 1, 2 and/or 3, your business may be part of a controlled group.

If you answered "Yes" to questions 4, 5 and/or 6, your business may be part of an affiliated service group.

The information contained herein is not intended and should not be viewed as legal advice. You are encouraged to consult your legal or tax advisor for a definitive determination as to whether your business is part of a controlled group or an affiliated service group. ADP accepts no responsibility to make such a determination for you. You can also request an Internal Revenue Service determination letter of affiliated service group status.

Certification

After examining the ownership and/or service relationships applicable to our business, I certify that our business (check ALL that apply):

- ☐ IS NOT in a controlled group with any other business as described in IRS regulations.
- ☐ IS NOT in an affiliated service group with any other business.
- ☐ IS in a controlled group as described in IRS regulations.
- ☐ IS in an affiliated service group.
- ☐ If I have concluded above that our business is in a controlled group or affiliated service group, all members of that controlled group or affiliated service group, as applicable, are ADP Payroll clients within the same ADP payroll region.
- ☐ If I have concluded above that our business is in a controlled group or affiliated service group, all members of that controlled group or affiliated service group, as applicable, are not ADP Payroll clients within the same ADP payroll region. I acknowledge that I will not be able to rely upon the compliance testing performed by ADP for my Premium Only Plan in this situation.

I further acknowledge that (I) this form is not a comprehensive description of the controlled group or affiliated service group rules (which are complex), (II) this form is not offered or intended by ADP as tax or legal advice and (III) ADP has no responsibility or obligation to determine if our business is or is not part of a controlled group or affiliated service group. If the plan is inadvertently offered to an entity that is not a member of the controlled group or affiliated service group, our company will take timely action to remove such non-member from the plan. I further acknowledge that it is our company's responsibility to periodically review the controlled group/affiliated service group status of our business and to take appropriate and timely action with regard to the nondiscrimination tests applicable to our Premium Only Plan so as to ensure the Plan's continued compliance with applicable provisions of the Internal Revenue Code.

The following are the members of my controlled group or affiliated service group (if *additional space is needed, this page may be photocopied and attached*):

Name	ADP Company Code(s)	Same ADP Payroll Region (Y/N)?	Participating in the Premium Only Plan (Y/N)?

CLIENT SIGNATURE: _____ DATE: _____



The ADP Logo is a registered trademark of ADP, LLC.
04-2257-H-0614 Printed in USA Copyright © 2014 ADP, LLC ALL RIGHTS RESERVED

THE PREMIUM ONLY PLAN- Plan Summary

The Premium Only Plan enables you to pay your share of premiums for group insurance coverage with pre-tax dollars.** When you participate in the Plan, the money will be deducted from your pay before income and social security taxes are withheld. This means that you will not have to pay federal income tax, Social Security tax or Medicare tax on the amount of your premium payments that are paid through the Premium Only Plan. In some states you also may not have to pay state or local income taxes on amounts paid through the Premium Only Plan on a pre-tax basis. You may wish to consult your legal and/or tax advisor regarding the actual tax savings you may expect to enjoy by participating in the Premium Only Plan.

How the Plan Works

Three things must happen before you can use the Premium Only Plan to pay your share of premiums for Eligible Benefits with pre-tax dollars:

- First, you must be eligible to participate. You are eligible to participate in the Premium Only Plan as of the date you first satisfy the eligibility requirements of one or more of the Premium Only Plan's underlying Eligible Benefits.
- Second, you must actually join the Premium Only Plan. Upon meeting the Plan's eligibility requirements, you should complete an Enrollment Form/Salary Reduction Agreement, whether or not you currently elect to participate in the Plan's pre-tax premium benefits. If you return your Enrollment Form/Salary Reduction Agreement before the date you become eligible to participate, your Enrollment Form/Salary Reduction Agreement will be effective on the date you become eligible to participate. If you return your Enrollment Form/Salary Reduction Agreement within 30 days after the date you become eligible to participate, your Enrollment Form/Salary Reduction Agreement will not be effective until the first pay period after the later of the date you become eligible to participate or the date your Enrollment Form/Salary Reduction Agreement is received by the Plan Administrator, and will be limited to premium payments incurred for the balance of the Plan Year in which you become eligible to participate.
- Third, you must separately enroll in the underlying insurance plans whose premiums you will be paying through the Premium Only Plan at the time you complete your Premium Only Plan Enrollment Form/Salary Reduction Agreement. While you pay your share of the premiums for these Eligible Benefits through the Premium Only Plan, the Eligible Benefits are not part of the Premium Only Plan itself. Their terms are set forth in separate plan documents (which may be insurance contracts), and enrollment in these Eligible Benefits involves a separate process. Eligibility to participate in the Premium Only Plan does not mean that you are enrolled and participating in the Eligible Benefits it funds.

The Premium Only Plan is voluntary. If you are eligible to join the Premium Only Plan, you will be required to complete an Enrollment Form before you can pay premiums through the Plan. You must complete and return the Enrollment Form to the Plan Administrator as described above. Once you have enrolled in the Premium Only Plan, you will have the opportunity to change your election for each upcoming Plan Year during an open enrollment period before the beginning of that Plan Year. If you fail to return a new completed Enrollment Form and similar agreements for any underlying Benefits to the Plan Administrator on or before the date the Plan Administrator specifies during the open enrollment period, you will be treated as having (a) elected to reelect for the upcoming Plan Year the same Benefit coverage(s) you currently have in effect and (b) agreed to reduce your compensation for the upcoming Plan Year equal to your share of the premiums for the Benefit coverage(s) you are deemed to have elected.

If you elect to pay premiums on a pre-tax basis through the Premium Only Plan, your salary reductions will go directly to the insurance company to pay for your share of the coverage you have separately elected, on a pre-tax basis. The insurance company will pay your benefits as provided in the insurance contract. In the case of a self-insured arrangement, your salary reductions will likewise be used to fund your share of the coverage you have selected, on a pre-tax basis, and your benefits will be paid by the Employer's self-insured plan in accordance with that plan's governing document(s).

Health Insurance Coverage under the Affordable Care Act: If your employer is eligible to, and offers you group health insurance coverage through an insurance company listed on a Small Employer Health Option Program (“SHOP”) that is part of a federal or state Marketplace or Exchange (and possibly dental and other insurance coverages as they may become available through the SHOP), such health insurance (or other) coverage purchased through the SHOP may be paid for through the POP. Your salary reductions will go directly to such SHOP or insurance company as provided under the rules applicable to the particular Marketplace or SHOP and is subject to the direction of the Plan Administrator. Any health insurance that you purchase individually on a state or federal Marketplace is not eligible to be paid for through the POP. You may ask the Plan Administrator for an “Exchange Notice” to understand your health insurance coverage options and any enrollment opportunities that may be available.

You can use the Premium Only Plan to pay your share of the premium only for those Eligible Benefits listed in the Plan Highlights that accompanies this Plan Summary. Note that coverage for Dependents that are children, if any, is only permitted on a pre-tax basis under the Premium Only Plan through the end of the calendar year in which a child attains age 26.

Changes During the Year

In general, your elections under the Premium Only Plan cannot be changed during the Plan Year, which begins and ends on the dates indicated in the Plan Highlights. This means that once you make your elections under the Plan, you can withdraw from the Plan or change your underlying coverage in the Eligible Benefits only during the open enrollment period that occurs before the next Plan Year begins. Once you have made your elections for a given Plan Year, federal law allows you to change your election mid-year only under limited circumstances. The change you make, moreover, must be on account of, and consistent with, the circumstances giving rise to the change. If an event permitting a mid-year election change occurs, you must inform the Plan Administrator and submit all required forms necessary to implement the change within a reasonable period of time as established by the Plan Administrator after the date of the event giving rise to the requested change. Your Plan Administrator will advise you of this time frame. If you believe you have experienced an event that permits you to make a mid-year election change, however, you should immediately contact your Plan Administrator to confirm how long after the occurrence of the event you have to make a mid-year election change.

Changes in Status

If you experience a Change in Status during the Plan Year, you may revoke your old election and make a new election, as long as both the revocation and the new election are on account of and consistent with the Change in Status. A Change in Status includes: (1) a change in your marital status, including marriage, death of your spouse, divorce, legal separation, or annulment; (2) a change in the number of your Dependents (“Dependent” means a tax dependent under the Internal Revenue Code), including birth, adoption, placement for adoption, or death of a Dependent; (3) an event that changes the employment status of you or your spouse or Dependent, including termination or commencement of employment, strike or lockout, beginning or returning from an unpaid leave of absence, or change in worksite that requires you to change your election under an underlying Benefit plan. In addition, if eligibility for a cafeteria plan (including this Plan) or other benefit plan sponsored by your employer or your spouse or Dependent's employer depends on the employment status of you or your spouse or Dependent and there is a change in employment status (e.g., from full-time to part-time or salaried to hourly) that causes you or your spouse or Dependent to become eligible or lose eligibility under the plan, that change is a Change in Status.; (4) an event that causes a Dependent to satisfy or no longer satisfy eligibility for a Benefit plan due to attainment of age, student status, or some similar circumstance; (5) a change in residence of you or your spouse or Dependent; and (6) any other event determined in the sole discretion of the Plan Administrator to be a Change in Status under Internal Revenue Service rules.

Effective September 16, 2013, or other earlier date selected by the Plan Administrator, the law requires the terms “spouse” and “marriage” to include same sex spouses married in a state, jurisdiction or country that permitted same sex marriages on the marriage date for federal tax purposes (including the POP). Check with the Plan Administrator on the rules applicable to the interpretation of “spouse” and “marriage” if the Plan Administrator selected an earlier effective date regarding the recognition of spouses in same sex marriages. The revised rules on same sex spouses do not extend to individuals who are in civil unions or domestic partnerships.

The Plan Administrator, in its sole discretion, will determine if your proposed revocation and new election are on account of and consistent with a Change in Status. In general, IRS rules provide that an election change is consistent with a Change in Status if it is on account of and corresponds with a Change in Status that affects coverage eligibility. The IRS has also imposed more specific requirements in the following situations:

- **Loss of Spouse or Dependent Eligibility.** For accident or health coverage, if the Change of Status is your divorce, annulment or legal separation, death of a spouse or Dependent, or a Dependent ceasing to satisfy coverage eligibility requirements, your mid-year election options are limited to canceling the applicable spouse or Dependent's coverage. However, if you, your spouse or Dependent becomes eligible for COBRA (or similar state law) continuation coverage (for a reason other than divorce, annulment or legal separation from you) under a plan maintained by your employer, you may increase your election to pay for the coverage.
- **Coverage Under Another Employer's Plan.** If you, your spouse or Dependent becomes eligible for coverage under another cafeteria plan or underlying benefit plan due to a change in your marital status or a change in employment status of you, your spouse or Dependent, an election under this Plan to cease or decrease coverage for that person is consistent only if his coverage goes into effect or is increased under the other plan.

Additional Events Permitting a Mid-Year Election Change: There are other events that will permit you to change your Plan election mid-year:

- **Significant Curtailment of Coverage.** If an underlying benefit plan coverage offered is significantly curtailed or ceases, you may revoke your election for that coverage under the Plan and elect "similar" coverage, if any. Coverage is "significantly curtailed" if there is an overall reduction amounting to reduced coverage generally. The Plan Administrator in its sole discretion determines whether a curtailment is "significant" or other coverage is "similar."
- **Medicare/Medicaid Entitlement.** If you, or your spouse or Dependent enrolled in an underlying accident or health plan of your employer becomes entitled to Medicare or Medicaid, you may elect to cancel or reduce coverage for yourself or your spouse or Dependent, as applicable. If you or your spouse or Dependent have been entitled to Medicare or Medicaid and lose eligibility for such coverage, you may elect to start or increase coverage for you or your spouse or Dependent under an underlying accident or health plan of your employer (as permitted by that plan).
- **Judgment Decree or Order.** If you receive a judgment, decree or order from a divorce, separation, annulment or custody proceeding that requires accident or health coverage for your Dependent child or Dependent foster child, you must change your Plan election accordingly. You may also make a mid-year election to revoke coverage for the child if the order requires your spouse, former spouse or another person to provide coverage for the child and it is provided.
- **Addition, Significant Improvement, or Elimination of Option.** If your employer adds or eliminates a benefit package or other coverage option, or significantly improves coverage under an existing benefit package option or other option, during a Plan Year, you may make a mid-year change to elect the newly-added or significantly improved option (or elect another option if yours is eliminated) and make corresponding elections with respect to other benefit package options providing similar accident or health coverage. (The right to elect a newly-added or significantly improved option mid-year extends to active Participants and to Employees who have met the Plan's eligibility requirements but have elected not to currently participate). The Plan Administrator determines in its sole discretion whether a benefit or coverage option provides "similar coverage."
- **Change in Cost of Coverage.** If the cost of any coverage funded through the Plan increases or decreases during the Plan Year, your salary deduction will be automatically adjusted to reflect this. If the cost increase (or decrease) is significant, you may elect to increase your salary deduction prospectively or revoke your election and

**If your employer includes Group Term Life Insurance as a Benefit under the Premium Only Plan, the cost of such insurance coverage in excess of \$50,000 will be included in your taxable income.

prospectively elect another option, if any, that provides similar coverage. (You may drop your coverage if there is no similar coverage.) The Plan Administrator determines in its sole discretion whether a benefit option provides "similar coverage" and whether a cost increase or decrease is "significant."

- **Change in Coverage of Spouse or Dependent Under Other Employer's Plan.** You may make a prospective election change on account of and corresponding to a change made under another employer plan, including a plan of your employer or a plan of a spouse's, former spouse's, or Dependent's employer if: (1) the other plan allows participants to make an election change that would be allowed under IRS rules; or (2) your Plan's Plan Year is different from the relevant period of coverage under the other employer plan. The Plan Administrator will determine in its sole discretion whether a proposed mid-year change is permitted in this situation.
- **Special Enrollment Rights.** If you or your spouse or Dependent is entitled to special enrollment rights under a group health plan under the Health Insurance Portability and Accountability Act of 1996, you may revoke a prior group health coverage election and make a new election that corresponds with the special enrollment right. Special enrollment rights arise if: (1) you or your spouse or Dependent declined group health coverage because you had other coverage that was COBRA coverage, and the COBRA coverage is exhausted, or the other coverage was non-COBRA and employer contributions for the coverage terminated (a mid-year election change in this situation must be elected no later than 30 days after the event that creates the special enrollment right); or (2) you acquire a new Dependent by marriage, birth, adoption, or placement for adoption. An election to add previously eligible Dependents due to acquisition of a new spouse or Dependent child is consistent with the special enrollment right. An election change on account of a special enrollment due to birth, adoption, or placement for adoption of a new Dependent child may be effective retroactively to the date of birth, adoption, or placement for adoption by up to 30 days, subject to the terms of the underlying group health plan.

The Children's Health Insurance Program Reauthorization Act of 2009 ("CHIPRA") authorizes new special enrollment rights for group health plans that will permit you to change your Plan election mid-year. Thus, if you or your Dependent is entitled to CHIPRA special enrollment rights under a group health plan, you may revoke a prior group health coverage election that corresponds with the CHIPRA special enrollment rights. The CHIPRA special enrollment rights arise if: (1) you or your Dependent is covered under a State Medicaid or State child health plan, and that coverage is terminated due to a loss of eligibility; or (2) you or your Dependent becomes eligible for State premium assistance under a State Medicaid or State child health plan. A mid-year election change in this situation must be elected not later than 60 days after the event that creates the CHIPRA special enrollment right. If you have any questions about making a mid-year election change based on the CHIPRA special enrollment rights, please contact the Plan Administrator.

- **Loss of Other Group Health Coverage.** If you or your spouse or Dependent loses group health coverage sponsored by a governmental or educational institution (such as a state children's health insurance program, certain Indian tribal programs, a state health benefits risk pool, or a foreign government group health plan), you may change your election to add group health coverage for you or your spouse or Dependent, as applicable.
- **Other Permitted Election Changes.** You may also be allowed to make other mid-year election changes under the Plan if the Plan Administrator determines in its sole discretion that the change is consistent with IRS rules.

If you stop working for your employer and return in a later Plan Year, you will again become eligible to participate in the Plan. If you stop working for the Employer and return in the same Plan Year, you may participate in the Plan during that Plan Year as described in the following Note:

Note: While the termination or the commencement of employment are generally events that permit a mid-year election change, the IRS is concerned that employees in some instances may terminate employment and be rehired shortly thereafter in order to justify a mid-year election change during a Plan Year. For this reason, your Plan provides that if you terminate employment, are rehired within a certain number of days (as determined by the Plan Administrator) in the same Plan Year, and are eligible to reenter the Plan as described above, your pre-termination

elections will be reinstated and you will not be permitted to make a new election covering the remainder of the Plan Year upon returning to work. Your Plan Administrator has established a procedure setting a minimum time period between termination and reemployment within the same Plan Year that will permit you to make a mid-year election change upon returning to work. You should see your Plan Administrator if you have any questions about this issue.

Special rules may be applicable if you take an unpaid leave of absence, including unpaid leave pursuant to the Family and Medical Leave Act during the Plan Year. If you intend to take such leave, please contact the Plan Administrator to discuss what options are available to you.

Other Things You Should Know

The Plan Administrator can answer your questions about the Plan and will provide you with any forms you need. The Plan Administrator also keeps the Plan's records and is responsible for operating the Plan. Unless it has designated another entity or individual to serve as Plan Administrator, the Plan Administrator is the Sponsor of the Plan, as named in the Plan Highlights.

The Plan's Sponsor maintains a copy of the documents governing the Plan that you may review upon request. The Plan document is more precise than this Plan Summary, so if anything in this description seems to differ from the Plan document, the terms of the Plan document will control.

The Plan's Sponsor, by written action of its Board of Directors, a general partner or the sole proprietor, as applicable, may amend or terminate the Plan at any time, but must notify you about any changes that affect your benefits.

In the event you are involved in a divorce, separation, or custody proceeding, your benefits under the Plan may be subject to a Qualified Medical Child Support Order ("QMCSO"). A QMCSO is an order issued under a state's domestic relations law that requires health benefit coverage for the child of a participant under a group health plan. QMCSOs generally will be directed primarily towards an underlying group health plan rather than this Plan, but may be directed towards the Plan. You should contact the Plan Administrator if you receive an order that you think may be a QMCSO.

Claim Procedures

Claims for benefits that are insured will be reviewed in accordance with procedures contained in the insurance policies and other documents describing the Eligible Benefits. All other general claims or requests should be directed to the Plan Administrator. In the event that a claim is denied in whole or in part, the claimant will be informed of the procedures to be followed to appeal the decision.

Any person whose claim has been denied may file a written appeal with the Plan Administrator within 90 days after receipt by the claimant of written notification of the denial or within 90 days after the claim is deemed denied. The claimant or his authorized representative may review any pertinent documents and submit any issues or comments to the Plan Administrator. The claimant and/or his authorized representative shall be afforded an opportunity to meet with the Plan Administrator for a full and fair review of the claim and the Plan Administrator's decision. The decision of the Plan Administrator on appeal will normally be made within 60 days of its receipt of a written appeal. The time for rendering a decision may be extended for an additional 60 days because of special circumstances, by the Plan Administrator and the reasons therefor, including references to specific Plan provisions.